

Post-Bankruptcy Wealth and Serial Entrepreneurship

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Abstract

I study whether protecting post-bankruptcy wealth gives failed entrepreneurs a second chance. Exploiting windfall wealth from inheritances as exogenous variation in wealth after personal bankruptcy, I find that windfalls increase reentry to business *only* among entrepreneurs who did not experience severe losses from their failed businesses. Those who restart after inheriting appear to survive at lower rates and earn less, suggestive evidence of lower performance. The findings suggest that bankruptcy policies increasing wealth protection can promote serial entrepreneurship, but their effectiveness appears limited by experiences of severe losses and the lower performance of entrepreneurs who restart after receiving windfall wealth.

Keywords: personal bankruptcy, entrepreneurship, second-chance policy

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1 Introduction

Policymakers around the world have increased the level of wealth protection in personal bankruptcy laws to reduce the cost of entrepreneurial failure and foster entrepreneurship. For example, in 2019, the European Union adopted the Directive on Restructuring and Insolvency with the explicit aim to help “*over-indebted entrepreneurs benefit from a full discharge of debt ..., thereby allowing them a second chance.*”¹ Despite the importance of these policy changes, evidence on whether wealth protection in bankruptcy law is effective in providing a second chance to *failed* entrepreneurs is scant. In this study, I evaluate the effect of protecting post-bankruptcy wealth on serial entrepreneurship using high-quality administrative data from Denmark.

A priori, whether failed entrepreneurs respond to greater post-bankruptcy wealth is ambiguous. On one hand, greater post-bankruptcy wealth might promote serial entrepreneurship by shielding it from seizure by creditors, thereby relaxing financial constraints of failed entrepreneurs. Consistent with the financial constraints channel, Cahn et al. (2021) and Herkenhoff et al. (2021) find that public information on past bankruptcy limits access to financing, which deters entrepreneurship. On the other hand, regardless of their wealth, failed entrepreneurs’ negative personal experiences might decrease their willingness to start another business. Prior studies document that negative personal experiences, such as corporate bankruptcy, decrease managerial risk-taking (Malmendier et al. 2011; Dittmar and Duchin 2016; Schoar and Zuo 2017). Collectively, whether failed entrepreneurs start another venture after an increase in post-bankruptcy wealth is an empirical question.

¹See the Directive (EU) 2019/1023.

The key empirical challenge in answering this question is to generate random variation in post-bankruptcy wealth across entrepreneurs. Prior studies that rely on cross-state or state-level variation in wealth protection in the US are subject to concerns about whether such variation is confounded by state-specific investment opportunities (Hynes et al. 2004). Moreover, more debtor-friendly laws may reduce credit supply, exacerbating the financial constraints that failed entrepreneurs face. Such indirect general equilibrium channels would counteract the direct effect of wealth protection on serial entrepreneurship.²

In this study, I address these challenges by using an identification strategy that exploits windfall wealth from inheritances received by failed entrepreneurs in Denmark. The underlying idea is that variation in windfalls after bankruptcy serves as a proxy for variation in post-bankruptcy wealth. The research design has two advantages. First, the timing of inheritance is random relative to that of bankruptcy, which is supported by both the institutional features of Danish bankruptcy law and the data. Second, because these windfalls are restricted to individuals receiving inheritances, my results are unlikely to be explained by shifts in the overall credit supply. I exploit this variation to estimate the effect of post-bankruptcy wealth on serial entrepreneurship in a matched sample. I compare failed entrepreneurs who receive inheritances after bankruptcy (the treated group) with otherwise similar entrepreneurs who do not (the control group), tracing the difference in their reentry rates. Because inheritances arrive at different horizons after bankruptcy, I estimate this difference using a stacked difference-in-differences design.

²Other indirect general equilibrium channels may confound the inference by causing changes in the composition of failed entrepreneurs. For example, more debtor-friendly laws reduce the expected costs of failure, which may incentivize more distressed entrepreneurs to file for bankruptcy (Agarwal et al. 2005). In a similar vein, Indarte (2023) notes that approaches relying on state-level variation in wealth protection may understate its direct effect, because indirect channels such as reduced credit supply can independently deter bankruptcy filing.

I first trace the effect of post-bankruptcy wealth on serial entrepreneurship without conditioning on past entrepreneurial experiences. I find that failed entrepreneurs are not more likely to restart despite receiving windfall wealth after bankruptcy. This null result is unlikely to be driven by small windfalls: it persists whether I measure inheritance size continuously or as an indicator for above-median inheritances. The median windfall, about 14,500 EUR, is of the same order of magnitude as the homestead exemptions that protect assets in US personal bankruptcy. The result implies that post-bankruptcy wealth is not a sufficient condition for failed entrepreneurs to restart. Moreover, the muted response contrasts with prior findings that document a positive effect of wealth protection on first-time entrepreneurship (e.g., Fan and White 2003; Armour and Cumming 2008; Cerqueiro et al. 2019), suggesting that the experience of failure and its severity may be another important determinant of serial entrepreneurship among bankrupt entrepreneurs.

To investigate why greater post-bankruptcy wealth alone does not spur serial entrepreneurship, I examine the role of past entrepreneurial experiences. Specifically, I use three measures of experiencing severe losses in personal income or wealth from business failure: (i) experiencing negative income from entrepreneurship, (ii) accumulating large business debts, and (iii) being fully personally liable (as opposed to partially liable) for business debts. I find that such experiences of severe losses deter restarting despite windfall wealth. On the other hand, those with less severe losses are roughly 7 to 14 percentage points more likely to become serial entrepreneurs after receiving windfall wealth, depending on the measure. The two groups receive similarly sized inheritances, so the heterogeneity reflects their different responses to windfall wealth rather than differences in windfall size. Moreover, among entrepreneurs who experienced severe losses, even larger inheritances do not appear to raise the likelihood of restarting. Overall, these find-

ings suggest that the propensity to start a new business after bankruptcy is jointly determined by post-bankruptcy wealth and the personal experience of past failures.

If second-chance policies merely relax a binding financial constraint among otherwise viable entrepreneurs, failed entrepreneurs who restart after receiving inheritances should not underperform those who restart without inheritances. To test this premise, I compare the survival and income of serial entrepreneurs who receive post-bankruptcy inheritances with those who do not. The result suggests that the former group underperforms on both margins. This finding of lower performance suggests that failed entrepreneurs who respond to greater post-bankruptcy wealth are unlikely to perform as well as those who restart without one.

This study contributes to several strands of the literature. I provide the first empirical evidence on the effect of post-bankruptcy wealth on *serial* entrepreneurship. Theoretical studies posit that wealth protection could foster overall entrepreneurship (Landier 2005; Ayotte 2007; Jia 2015; Mankart and Rodano 2015). Consistent with this theoretical prediction, empirical evidence shows that greater wealth protection increases entrepreneurship across US states and across countries (Fan and White 2003; Armour and Cumming 2008; Cerqueiro et al. 2019).³ In comparison to these studies, I specifically test whether *failed* entrepreneurs start a new business. Considering that an important goal of bankruptcy law is to enable failed entrepreneurs to “start fresh” by discharging business debts (White 2016), I fill this gap in the literature. I find that failed entrepreneurs do not unconditionally respond to greater post-bankruptcy wealth.⁴

³Recent evidence finds that downside protection against entrepreneurial failure *outside* the formal bankruptcy system can stimulate entrepreneurial activities (Hombert et al. 2020; Koudijs and Salisbury 2020; Ersahin et al. 2021; Gottlieb et al. 2022). Conversely, Akyol and Athreya (2011), Cumming and Li (2013), Paik (2013), and Traczynski (2019) observe either a negative or no correlation between wealth protection in personal bankruptcy and entrepreneurship in the US.

⁴Other studies examine the effect of personal bankruptcy law, as well as managers’ personal costs as-

The second contribution of this study relates to research examining the impact of removing public information about past bankruptcy or delinquency on entrepreneurship. These studies document that removing such information has either positive, negative, or no impact on entrepreneurship (Bos et al. 2018; Dobbie et al. 2020; Cahn et al. 2021; Herkenhoff et al. 2021). I complement these findings by showing that the effect of post-bankruptcy wealth on entrepreneurship depends on whether the individual experiences severe losses from business failure.

My study also contributes to the broader literature on entrepreneurship. A large body of research documents the positive effect of wealth shocks on first-time entrepreneurship (e.g., Holtz-Eakin et al. 1994; Andersen and Nielsen 2012; Adelino et al. 2015; Schmalz et al. 2017; Bellon et al. 2021; Cespedes et al. 2021; Bermejo et al. 2024). Compared with these studies, I find that bankrupt entrepreneurs respond to wealth windfalls by starting new businesses *only* if they experienced less severe losses. Another strand of the literature documents that serial entrepreneurs outperform first-time ones (Gompers et al. 2010; Lafontaine and Shaw 2016; Shaw and Sørensen 2019). In comparison to these studies, my findings indicate that the marginal entrepreneurs drawn in by greater post-bankruptcy wealth underperform those who restart without a windfall.⁵

The final contribution relates to the literature documenting that negative personal experiences deter individual risk-taking (e.g., Malmendier et al. 2011; Dittmar and Duchin 2016; Koudijs and Voth 2016; Knüpfer et al. 2017; Schoar and Zuo 2017; Andersen et al.

sociated with corporate bankruptcy, on firm-level outcomes other than entrepreneurship, such as borrowing, investments, and post-bankruptcy survival (Berkowitz and White 2004; Berger et al. 2011; Cerqueiro et al. 2017; Cerqueiro and Penas 2017; Chen et al. 2020; Cole et al. 2024; Schoenherr and Starmans 2022; Hotchkiss et al. 2026). In a related study, Baird and Morrison (2005) argue that reorganizations in *corporate* bankruptcies delay entrepreneurs' transition to new ventures that may better match their skills.

⁵In a related study, Cesarini et al. (2017) find that winning larger prizes is associated with lower entrepreneurial income among lottery winners, consistent with my finding of lower profits among serial entrepreneurs who receive inheritances.

2019). Consistent with the literature, my study finds that bankrupt entrepreneurs who experience severe losses from their businesses are less willing to take risks in the labor market.

My study has implications for policies that aim to provide a second chance to failed entrepreneurs by increasing wealth protection. First, such policies may be insufficient to foster serial entrepreneurship because personal experiences of severe losses deter restarting regardless of the level of wealth protected by bankruptcy law. Second, failed entrepreneurs who do respond to such policies may, on average, underperform bankrupt entrepreneurs who restart without the policy support. Moreover, while greater wealth protection induces a subset of failed entrepreneurs to restart, prior research documents that these policies may simultaneously reduce businesses' access to credit in the economy, which might in turn deter entry and growth of other aspiring entrepreneurs (Berkowitz and White 2004; Berger et al. 2011; Fossen 2014).⁶ In sum, my findings underscore the limited effectiveness of wealth protection policies in fostering high-quality serial entrepreneurship.

The study proceeds as follows. Section 2 describes the Danish institutional setting. Section 3 introduces the data, sample construction, and empirical strategy. Section 4 presents the effects of inheritance on post-bankruptcy wealth, serial entrepreneurship, and subsequent performance. Section 5 reports robustness checks, and Section 6 concludes.

⁶Related studies further find that greater wealth protection in personal bankruptcy is associated with higher interest rates for both secured and unsecured credit (e.g., Gropp et al. 1997; Livshits et al. 2007; Severino and Brown 2017; Chakrabarti and Pattison 2019; Gross et al. 2021).

2 Institutional setting

This section describes the institutional setting relevant to this study. First, I provide a brief overview of the personal bankruptcy system in Denmark. Second, I introduce the institutional background regarding inheritance.

2.1 Personal bankruptcy for entrepreneurs in Denmark

The Bankruptcy Act (*Konkursloven*) governs insolvency proceedings in Denmark. Individual debtors who are insolvent, i.e., who cannot fulfill their debt obligations, have three filing options: liquidation for private individuals (*personlig konkurs*), reorganization (*rekonstruktion*), and bankruptcy (*gældssanering*).⁷ I briefly describe two proceedings that are empirically relevant for individual debtors: liquidation and bankruptcy.⁸

Under liquidation proceedings, insolvent debtors liquidate their assets to pay the debt. Liquidation can be filed by either a debtor or creditor. Importantly, liquidation does not automatically discharge the remaining unpaid debt. To receive the discharge, debtors need to apply separately for bankruptcy proceedings.

Under bankruptcy proceedings, debtors can receive a debt discharge by committing to a repayment plan, which typically lasts three to five years. Bankruptcy proceedings begin when the debtor files with the court in the local jurisdiction. Once the court confirms the filing meets all requirements, it formally opens the bankruptcy case and publicly announces it on the State Gazette, an official government gazette, which is the source of

⁷Agrawal et al. (2022) note that in Danish parlance, *personlig konkurs* is often referred to as “personal bankruptcy.” However, *personlig konkurs* does not entail debt discharge, while *gældssanering* does. Therefore, I refer to *personlig konkurs* as “liquidation” and *gældssanering* as “bankruptcy” throughout this study.

⁸Reorganization proceedings, which became available in 2011, are commonly used by large corporate debtors (Bang-Pedersen 2018). These proceedings represent less than 5% of all insolvency proceedings between 2011 and 2016, with approximately 100 filings each year.

data for this study. After the case is opened, the debtor presents a repayment plan to the court. The plan requires the debtor to use all disposable income (defined as predicted income minus predicted necessary expenses) to pay part of the unsecured debt.⁹ If the court deems the plan feasible, it approves it and issues a bankruptcy ruling, detailing the discharge ratio (the proportion of debt discharged in bankruptcy to total unsecured debt) and the repayment terms, such as installment amounts and duration. At the issuance of the bankruptcy ruling, the portion of the debt that cannot be paid from disposable income is discharged. I provide more details on bankruptcy proceedings in Appendix [IA.1](#).

Two types of procedures: Ordinary versus business debt chapters Denmark has two different personal bankruptcy procedures, defined under Chapters 25–28 and Chapter 29 of the Bankruptcy Act (hereafter referred to as the “ordinary chapter” and the “business debt chapter,” respectively).¹⁰ The two chapters follow similar legal procedures to discharge debt and require liquidation of all assets, as previously described. The two types of bankruptcy have two main differences that may make the business debt chapter preferable for failed entrepreneurs who are eligible (Bang-Pedersen 2018).¹¹ First, the business debt chapter is only available for individuals with large business debt. According to case law, the threshold for eligibility is set at 75% of the debt being business-related (Hindborg 2017, p. 281). Second, the duration of the repayment period differs between the two, lasting three years under the business debt chapter and five years under the ordinary chapter. The shorter repayment period under the business debt chapter is intended to facilitate a

⁹Secured debts, like mortgages or car loans, cannot be discharged.

¹⁰The business debt chapter was introduced in October 2005 following a reform to the Bankruptcy Act. Another reform in 2022, which is outside my sample period, consolidated the two chapters and reduced the repayment period to three years. For details about the 2005 reform, see Kilborn (2009), Kilborn (2011), and Bang-Pedersen (2018).

¹¹For other minor differences between the two chapters, see Appendix [IA.1](#).

faster return to business after bankruptcy.

Ability to borrow and to restart a business after bankruptcy Bankruptcy effectively restricts an individual's ability to borrow, but not business ownership. When liquidation or bankruptcy proceedings begin, debtors are registered with bankruptcy flags in the credit register, called RKI. These flags are removed after completion of the repayment period (three to five years), but while they are present, they effectively make it impossible to obtain new loans or credit (Kreiner et al. 2020). Given that all bankrupt individuals are flagged regardless of inheritance events, my research design isolates the effect of windfall wealth, distinct from that of bankruptcy flags. Importantly, neither bankruptcy flags nor bankruptcy itself restrict an individual's ability to own a business.¹²

2.2 Windfall wealth from inheritances after bankruptcy

To estimate the effect of post-bankruptcy wealth on serial entrepreneurship, my research design exploits windfall wealth from inheritances that debtors receive after bankruptcy. Identifying these inheritances is facilitated by administrative registers provided by Statistics Denmark. Specifically, I use population registers to link parents and their children and wealth registers to obtain individual-level asset and liability information, which is sourced from official tax records.¹³ According to Danish inheritance law, inheritances are by default equally divided among children. Legal provisions require that the transfer of the estate to heirs should be completed within 12 months after the death. An estate tax

¹²During liquidation proceedings, the bankruptcy court may impose a bankruptcy quarantine (*konkurskarantæne*) on managers who operated their company in a grossly irresponsible manner. This quarantine prohibits them from managing a limited liability company for a three-year period but does not prohibit managing an unlimited liability company.

¹³Following Andersen and Nielsen (2012), I restrict the sample to cases where all beneficiaries are children of the deceased.

of 15% is levied on estates exceeding a net wealth of Danish Kroner (DKK) 242,400 as of 2006. This threshold is adjusted annually by a price index.

Inheritance events provide an ideal setting to study the effect of wealth protection in bankruptcy on serial entrepreneurship, due to two institutional features. First, conditional on the bankruptcy ruling, the timing of inheritance is likely exogenous to that of bankruptcy. Danish case law requires debtors to disclose any prospective inheritance at filing, and the court rejects applications in which an inheritance is anticipated, because the expected windfall is deemed to improve the debtor's financial situation (Hindborg 2017, p. 59, and Petersen and Ørgaard 2022, p. 125). Concealing such a prospect is treated as fraudulent and can later result in cancellation of the bankruptcy order (Hindborg 2017, pp. 213–215, and Hansen and Petersen 2022, p. 337). Therefore, this institutional requirement removes foreseeable inheritances and leaves those that arrive unexpectedly.

Second, unexpected windfalls, such as lottery winnings or inheritance, that occur after the ruling do not change the repayment terms (Hindborg 2017, p. 314, and Petersen and Ørgaard 2022, note 931).¹⁴ Therefore, inheritances that occur after bankruptcy belong solely to the debtor, as creditors do not have claims to them. In Section 4.1, I provide empirical evidence that is consistent with these two institutional features. Together, these institutional features give me confidence that windfall wealth from inheritance after bankruptcy can serve as a proxy for greater amounts of wealth being protected in bankruptcy.

¹⁴Some heirs with significant debt may waive the rights to inheritance, possibly to avoid the inheritance being used to pay creditors. However, waiving inheritance before bankruptcy can lead the court to reject the application for bankruptcy, according to the Danish case law (Hindborg 2017, p. 61, and Hansen and Petersen 2022, pp. 127–129).

3 Data and empirical strategy

3.1 Data

I use four data sources to construct a panel dataset of entrepreneurs who go personally bankrupt. I begin with a list of bankrupt individuals and then attach to each name the corresponding unique individual identifier (CPR) assigned to every Danish citizen. The CPR identifiers, equivalent to Social Security numbers in the US, allow me to link the list of bankrupt individuals to the administrative registers and business ownership datasets. Using these linked data, I identify individuals' entrepreneurship before and after bankruptcy and whether they receive inheritances. I describe each source below, with further detail in Appendix [IA.2](#).

1. The State Gazette of Denmark (*Statstidende*): The State Gazette is a government gazette that publicly announces statutory notices on court proceedings. I parse the State Gazette documents into notices on bankruptcy rulings and identify bankrupt individuals. Parsing them yields the list of approximately 20,000 individuals who receive bankruptcy rulings between 2006 and 2017.¹⁵
2. Statistics Denmark: I use administrative data from Statistics Denmark, which comprise several registers containing comprehensive information on income, wealth, education, labor supply, family (parents, spouse, and children), and parental death. These registers cover the entire population of Denmark and provide individual-level data on an annual basis, using a CPR identifier for each person. The data are considered highly

¹⁵From October 2005, the State Gazette transitioned to digital publication (accessible at <https://www.statstidende.dk>), making 2006 the first full calendar year for which digital forms are available. Bruze et al. (2024) use the same source to study the long-run effect of personal bankruptcy in Denmark (*gældssanering*), hand-collecting announcements from microfilm through 2005; my sample begins with the digital edition in 2006.

reliable. For instance, information on income, wealth, and employment status is directly sourced from official records from the Danish Tax and Customs Administration. I extract data from the registers for the years 1980 to 2023. I adjust variables denominated in Danish Kroner (DKK) to the 2015 price level and winsorize them at the 2.5 and 97.5 percentiles for each event year. To identify inheritance events and their magnitudes using these administrative registers, I follow the methodology of Andersen and Nielsen (2012). The detailed procedure is outlined in Appendix IA.3.

3. The Central Business Register (CVR: *Centrale Virksomhedsregister*): The Central Business Register contains firm-level information on all companies in Denmark.¹⁶ The relevant information includes incorporation status (either unlimited or limited liability company), industry (NACE codes), founders, managers, and owners. The dataset covers the period from 1990 to 2023.
4. Experian: To supplement the CVR data on ownership of limited liability companies, I use the Experian dataset. It assembles data from companies' annual reports, which list ownership for individuals or entities holding more than 5% of the share capital. The dataset is available between 2000 and 2019.

3.2 Definition of entrepreneurs

I define individuals as entrepreneurs if they are owner-managers: either (i) owners of an unlimited liability company (hereafter ULC), or (ii) owners of a limited liability company (hereafter LLC) who also serve as a manager of that company. For ULCs the two roles are inseparable by construction; for LLCs the additional manager condition restricts the definition to entrepreneurs actively managing their businesses rather than passive financial

¹⁶Companies are required to report statutory information to the CVR.

investors.

To determine ULC entrepreneurship, I extract information from the matched employer-employee panel dataset supplied by Statistics Denmark.¹⁷ Statistics Denmark classifies individuals as ULC entrepreneurs if their primary occupation is at a personally owned business, either a sole proprietorship (*enkeltmandsvirksomhed*) or a partnership (*interessenskab*). Focusing on primary occupation ensures that I capture full-time entrepreneurs.¹⁸

Second, to determine LLC entrepreneurship, I combine datasets from the CVR and Experian. The combined dataset provides a list of managers, legal owners (those holding more than 5% of ownership or voting rights directly) and beneficial owners (those holding more than 25% of ownership or voting rights, either directly or indirectly) for each LLC at year-end.¹⁹ I classify individuals as LLC entrepreneurs who are managers and, simultaneously, legal or beneficial owners of LLCs.

3.3 Sample selection

To examine serial entrepreneurship after bankruptcy, the first step in the sample selection is to identify entrepreneurs who go bankrupt. Given that the State Gazette does not consistently specify whether a bankruptcy results from business failure, I use two criteria to identify former entrepreneurs. First, I classify all bankruptcies under the business debt chapter as those of former entrepreneurs, given that this chapter is exclusively available

¹⁷Unlike LLCs, ULCs are not required to submit annual reports to the CVR, resulting in potential delays or omissions in reporting the closure or reopening of ULCs. Therefore, to accurately track serial entrepreneurship in ULCs, I use the matched employer-employee panel dataset from Statistics Denmark.

¹⁸Specifically, Statistics Denmark classifies individuals as ULC entrepreneurs if they meet either of the following criteria: (1) they own a ULC that employs at least one other individual, or (2) they are self-employed and derive over 50% of their total income from a ULC, or their business turnover exceeds 50,000 DKK.

¹⁹I include three types of LLCs in Denmark: public limited liability companies (*aktieselskab*), private limited liability companies (*anpartsselskab*), and entrepreneurial companies (*iværksætterselskab*).

to individuals primarily indebted from business activities. Second, for ordinary chapter bankruptcies, I consider individuals to be former entrepreneurs if they were either a ULC or LLC entrepreneur within the seven years leading up to their bankruptcy. Using these criteria, I identify 6,210 entrepreneurs who go bankrupt, with 3,454 and 2,756 from the ordinary and business debt chapters, respectively.

In the second step, I refine the sample to avoid spurious correlations. First, I remove 60 individuals whose rulings are subsequently cancelled (due to failures like noncompliance with the repayment plan). Second, I exclude 363 individuals who inherited within the seven years preceding their bankruptcy. This exclusion keeps the expected post-bankruptcy inheritance comparable across the remaining bankrupt entrepreneurs, since pre-inheritors have already received some or all of their potential inheritance and would otherwise differ systematically from the rest of the sample. Third, I exclude 4 individuals who receive multiple inheritance events after bankruptcy. Such cases typically arise from divorced parents, where the bankrupt entrepreneur can inherit separately from each biological parent (and any stepparent), and their inheritance patterns differ from those in the typical two-parent household. Fourth, for individuals with multiple bankruptcy rulings, I only consider the first ruling.²⁰

In the third step, I retain entrepreneurs aged between 18 and 60 at the time of the ruling, thereby excluding 708 older entrepreneurs who might simply retire from the labor market after bankruptcy. After this step in sample selection, I am left with 5,075 unique failed entrepreneurs who go bankrupt between 2006 and 2017.

²⁰Refiling is a rare event: only about 3% of the bankrupt individuals in my sample receive a second or, even more rarely, a third ruling. Moreover, a review of such subsequent rulings from the State Gazette suggests that they primarily adjust terms from the initial ruling, rather than indicating a separate spell of financial distress.

Matching entrepreneurs who receive inheritances to those who do not My objective is to estimate the impact of windfall wealth on serial entrepreneurship after bankruptcy. To control for the general propensity to restart a business absent windfall wealth, I match bankrupt entrepreneurs who receive inheritances after their ruling (referred to as the “treated” group) with those of similar characteristics who do not (the “control” group).

To begin, I identify the treated group from inheritance events.²¹ To focus on windfalls that occur soon after bankruptcy, I only look at inheritance events between the year of bankruptcy and three years after. The procedures yield 235 entrepreneurs with inheritance events. None of these treated entrepreneurs inherits an operating business from a parent, which alleviates the concern that an inherited business, rather than windfall wealth, drives the decision to restart after bankruptcy.

For each bankrupt entrepreneur in the treated group, I look for up to five entrepreneurs in the control group, and I match with replacement. The matching takes the following steps:

1. I require that the entrepreneur in the control group has the same year of bankruptcy and gender and is of a similar age (± 5 years) and has a similar debt discharge ratio (± 10 percentage points) as the treated entrepreneur.
2. I also require that the control entrepreneur have the same past entrepreneurial experience as the treated entrepreneur. Specifically, I match exactly on the bankruptcy chapter (ordinary or business debt), on whether the entrepreneur experienced negative entrepreneurial income before bankruptcy, and on whether she had been a ULC entrepreneur before bankruptcy.²²

²¹I provide detailed procedures on identifying inheritances in Appendix [IA.3](#).

²²I provide more detailed definitions of these past entrepreneurial experiences in Section [4.3](#).

3. Among potential matches, I select up to five nearest neighbors by minimizing the Mahalanobis distance to the treated entrepreneur with respect to three variables: pre-bankruptcy wealth at one, two, and three years before bankruptcy. I further refine the accuracy of matching by excluding matched pairs whose pre-bankruptcy wealth at one year before bankruptcy differs by more than 500,000 DKK in absolute value.

After matching, my main matched sample consists of 185 unique individuals in the treated group and 589 in the control group. I observe them from seven years before bankruptcy through six years after. Each treated entrepreneur and her matched controls together form a *cohort*, which serves as the building block of the stacked difference-in-differences design described in Section 3.5.

3.4 Summary statistics

Table 1 reports the characteristics of all bankrupt entrepreneurs and the main matched sample (the treated and control groups), measured at the year of bankruptcy. Panel A shows that bankrupt entrepreneurs have, on average, large negative net wealth at one year before bankruptcy, which prompts them to seek a debt discharge. The mean is somewhat less negative in the treated group than in the full sample, though the medians are much closer.²³ The gap in means therefore appears to be driven by a small number of extremely negative outliers in the full sample, several of whom could not be matched and so do not enter the matched-treated column. Panel B reports that the treated group is 3.8 years older than the full sample. This age difference is not surprising, as one enters the treatment group when their last living parent dies. Panel C shows that bankrupt entre-

²³The median pre-bankruptcy wealth is -560,000 DKK in the full sample and -470,000 DKK in the treated group. Compliant with Statistics Denmark's data policy, the median represents the average of five values around the median. For readability, I refer to them as the median throughout.

preneurs, on average, discharge more than 90% of total unsecured debt. Panel D reports that about 84% of bankrupt entrepreneurs were ULC entrepreneurs at some point during the seven years before bankruptcy. The remaining 16% filed for personal bankruptcy despite having managed only LLCs, which suggests that, like ULC entrepreneurs, they were personally liable for some business debts. Their presence is consistent with prior studies documenting the importance of personal credit (and thus personal bankruptcy) among small business owners (e.g., Hvide and Møen 2010; Robb and Robinson 2014; White 2016; Fonseca and Wang 2023; Kalda et al. 2026).²⁴ In the last column, I examine the difference between the treated and matched control groups. With the exception of age and the discharge ratio (both economically small in magnitude), none of the differences are statistically significant. Overall, this balance, particularly on characteristics not used in the matching procedure, suggests that the two groups are similar on observable entrepreneurial characteristics.

Inheritance amounts The main explanatory variable in my analysis is whether an individual receives an inheritance. I provide descriptive evidence about the magnitude of inheritances to show that they are economically significant for these distressed entrepreneurs. The top panel of Figure IA.3 plots the distribution of inherited wealth. The distribution of inherited wealth shows substantial variation, similar to Andersen and Nielsen (2012), who find a positive effect of windfall wealth from inheritances on first-time entrepreneurship. To put these results into perspective, the average (median) size of inheritances in my study is 232,000 DKK (108,000 DKK), which is of similar magnitude to the average found in Andersen and Nielsen (2012).

²⁴Specifically, LLC entrepreneurs may have personal liability if they use personal loans to finance their companies or have personal guarantees on company loans.

In the bottom panel of Figure IA.3, I plot the ratio of inherited wealth to dischargeable debt as an alternative way to quantify the magnitude of windfalls. This panel plots the ratio using four bins. I define dischargeable debt as unsecured debt measured at one year before bankruptcy. Similar to the top panel, these relative sizes of inheritances are economically large.

To benchmark these amounts against an explicit wealth protection policy, I compare them to the homestead exemptions that protect home equity from liquidation in US personal bankruptcy. In 2015, the average (median) homestead exemption across US states was about USD 95,000 (USD 72,900) (Indarte 2023). By comparison, the average (median) inheritance in my sample is about USD 39,300 (USD 18,300).²⁵ The inheritances are thus of the same order of magnitude as the wealth protected under US bankruptcy law, though at its lower end, roughly two-fifths (one-quarter) of the corresponding exemption.

Therefore, the amounts that the bankrupt entrepreneurs in my sample inherit appear to be sufficiently large to relax the financial constraints of failed entrepreneurs who want to restart.

Inheritance timing In Figure IA.4, I report the distribution of inheritance timing relative to bankruptcy ruling. I group inheritance events into seven bins, each spanning six months. For instance, the first bin represents the share of individuals who receive an inheritance within the first six months following their bankruptcy ruling date. Subsequent bins group people by intervals of six months. The plot shows that the timing of inheritances does not exhibit bunching within the first six or 12 months following bankruptcy. For instance, inheritances that occur within 12 months of bankruptcy account

²⁵I convert the inheritance amounts to US dollars at the average US dollar-DKK exchange rate over my sample period, 5.9 DKK per US dollar, with annual averages ranging from 5.1 to 6.7 across 2006–2019.

for 27.0% (14.6% + 12.4%) of total inheritance occurrences, a figure lower than the 31.9% (18.4%+13.5%) for those that occur within the last 12 months. The relatively uniform distribution of inheritances across the event window supports that the timing of inheritances is exogenous once a bankruptcy ruling is issued (as discussed in Section 2.2).

3.5 Empirical strategy

To estimate the effect of post-bankruptcy wealth on serial entrepreneurship, I employ a stacked difference-in-differences design in the spirit of Gormley and Matsa (2011), which avoids the well-documented biases of two-way fixed-effects estimators in staggered settings with heterogeneous treatment effects (Goodman-Bacon 2021; Baker et al. 2022).²⁶

For each treated entrepreneur, I construct an event-specific dataset, which I refer to as a *cohort*, consisting of the treated entrepreneur and the up to five matched controls assigned to her by the procedure of Section 3.3. By construction, all members of cohort c share the same year of bankruptcy. I observe each individual from seven years before bankruptcy ($t = -7$) through six years afterward ($t = +6$), and stack all cohorts into a single panel.²⁷

For an outcome Y_{ict} of individual i in cohort c at event year t (where $t = 0$ is the year of bankruptcy), the baseline regression on the stacked panel is:

$$Y_{ict} = \beta \text{After inheritance}_{ict} + \delta X'_{ict} + \alpha_{ic} + \kappa_{ct} + \gamma_a + \varepsilon_{ict}, \quad (1)$$

²⁶In my setting, treated entrepreneurs receive inheritances at different post-bankruptcy horizons. A pooled two-way fixed-effects specification would use already-inherited entrepreneurs as implicit controls for those who inherit later, contaminating the estimated treatment effect. The stacked design restricts each treated entrepreneur to be compared only with her own matched controls within a common observation window.

²⁷Because matching is with replacement, the same control entrepreneur may appear in more than one cohort. I treat each appearance as a separate observational unit through the individual-by-cohort fixed effect in Equation 1.

where $After\ inheritance_{ict}$ is an indicator variable equal to one for the treated entrepreneur in cohort c in event years on or after her inheritance year, and zero otherwise; it is therefore zero for every control observation throughout the cohort.

The vector X'_{ict} collects time-varying individual characteristics: an indicator for being married in year t and the number of children under the age of 18 living in the household in year t .²⁸

The specification includes three sets of fixed effects. First, α_{ic} is an individual-by-cohort fixed effect: it absorbs all time-invariant characteristics specific to each individual-cohort cell and, because matching is with replacement, treats a control appearing in more than one cohort as a separate unit in each cohort she enters. Second, κ_{ct} is a cohort-by-event-year fixed effect, which absorbs any shock common to all members of the same cohort at the same event time, including the mechanical post-bankruptcy recovery dynamics shared by individuals who file in the same year. Third, γ_a is an age-bin fixed effect, where the age bin a is defined in five-year intervals based on the individual's age in event year t ; this fixed effect controls for general life-cycle variation in the outcome. Saturating the model with these fixed effects means that the coefficient of interest, β , is identified from within-cohort, within-event-year contrasts between the treated entrepreneur and her matched controls. It captures the post-inheritance change in the outcome for the treated entrepreneur, relative to her matched controls in the same cohort and the same event year.

To assess whether the propensity to restart a business varies with the size of the windfall, I extend Equation 1 by interacting $After\ inheritance_{ict}$ with a measure of inheritance

²⁸I obtain similar results when I omit these time-varying control variables, addressing the concern that they may themselves respond to the windfall. The results are reported in Table IA.1.

size:

$$Y_{ict} = \beta_1 \text{After inheritance}_{ict} + \beta_2 \text{After inheritance}_{ict} \times \text{Size}_i + \delta X'_{ict} + \alpha_{ic} + \kappa_{ct} + \gamma_a + \varepsilon_{ict}, \quad (2)$$

where Size_i is one of two measures, each entering a separate regression: *Inherited wealth*_{*i*}, the inherited amount in millions of 2015 DKK, which permits a linear dose-response; and *Large inheritance*_{*i*}, an indicator equal to one for above-median inheritances, which permits a non-monotonic response. The main effect of Size_i is absorbed by the individual-by-cohort fixed effect α_{ic} . The coefficient β_2 captures how the likelihood of restarting varies with the size of the windfall.

I estimate Equations 1 and 2 by weighted least squares, with each treated entrepreneur assigned weight one and each of her k matched controls assigned weight $1/k$, so that each cohort contributes equally to identification. Standard errors are clustered at the individual-by-cohort level, treating each individual-cohort cell as the unit of analysis.

4 Windfall wealth and serial entrepreneurship

4.1 Inheritance as a source of post-bankruptcy wealth

In my research design, I exploit windfall wealth from inheritances as a source of variation in post-bankruptcy wealth across failed entrepreneurs. Before turning to the main analysis, I assess the validity of the research design by testing (1) whether the treated and control groups follow a similar trend in net wealth before the inheritance event and (2) whether inheritance increases net wealth (i.e., the difference between total assets and total debt) of the recipients.

Figure 1 illustrates the dynamics of average net wealth for both the treated (solid line)

and control (dashed line) groups. The horizontal axis shows the years since bankruptcy, with year 0 denoting the year in which the court issues a bankruptcy ruling. The shaded area between event years 0 and 3 represents the inheritance window, during which inheritance events occur. The plot supports the validity of the research design in two ways.

First, Figure 1 shows that the treated and control groups follow a similar evolution of net wealth before bankruptcy. Despite constructing the matched control group based on individuals' characteristics measured at event year -1 (with the exception of net wealth, on which I match using values at event years -3, -2, and -1), the overall trend in net wealth is similar between the two groups throughout event years -7 and -1. Pre-period differences are not jointly statistically significant ($p = 0.32$). This parallel pre-trend supports the identifying assumption underlying the stacked difference-in-differences design that, absent the windfall wealth from inheritance, the treated and control groups' net wealth would have evolved similarly. The absence of a statistically detectable pre-trend is also inconsistent with systematic opportunistic filing — debtors anticipating a future inheritance and strategically accumulating dischargeable debt before bankruptcy — which would otherwise produce a significant pre-trend divergence. Figure 1 therefore supports the assumption that the timing of inheritance is random relative to that of bankruptcy.

Second, while both groups experience a sharp jump in net wealth around the year of bankruptcy due to debt discharge,²⁹ the treated group exhibits a higher level of net wealth than the control group throughout the post-bankruptcy period. The persistent difference in net wealth (jointly statistically significant at the 1% level for event years 0 through 6) suggests that inheritance significantly increases the net wealth of recipients.

²⁹Net wealth remains negative on average even after the bankruptcy ruling because Danish personal bankruptcy discharges unsecured debt while leaving secured obligations, primarily mortgages, on the debtor's balance sheet.

Overall, Figure 1 lends support to (1) the parallel trend in net wealth before bankruptcy and (2) the legal feature that unanticipated inheritances belong to the debtor and are thus not subject to creditors' seizure. These two results are consistent with the institutional environment discussed in Section 2.

After observing that inheritance increases net wealth, I turn to regressions to quantify the magnitude of the increase. Table 2 reports estimates from the stacked specification in Equation 1. The sample comprises individuals in the treated and control groups, observed from seven years before until six years after bankruptcy. Columns 1–3 report results from three separate regressions in which the outcome variables are net wealth, total debt, and total assets, respectively.

The results in Table 2 are consistent with Figure 1. Column 1 shows that inheritance increases net wealth by about 158,000 DKK in the years following the inheritance event. Columns 2 and 3 examine the two components of net wealth.³⁰ Inheritance reduces both total debt (by about 407,700 DKK) and total assets (by about 189,900 DKK), with the reduction in debt exceeding the reduction in assets. The pattern is consistent with treated entrepreneurs using the inheritance to deleverage. Rather than holding the windfall, they appear to channel it into repaying the secured obligations that survive the bankruptcy discharge, so it shows up as lower debt rather than higher assets. This further reduction in debt complements the discharge of unsecured debt obtained through bankruptcy, and is consistent with the policy motivation laid out in the introduction: that a *full discharge of debt* allows over-indebted entrepreneurs a second chance.

³⁰ Because the three outcomes are estimated separately and each is winsorized by event year (Section 3.1), the coefficients need not satisfy the identity, net wealth = total assets – total debt, exactly.

4.2 Post-bankruptcy wealth and serial entrepreneurship

In the previous section, I established that windfalls from inheritance increase net wealth after bankruptcy. In this section, I test whether greater post-bankruptcy wealth in turn increases the probability of starting a new business. This is the unconditional effect of post-bankruptcy wealth on serial entrepreneurship, estimated without conditioning on pre-bankruptcy entrepreneurial experiences. The test probes the premise of second-chance policies: that promoting serial entrepreneurship requires relaxing the financial constraints of failed entrepreneurs. If greater post-bankruptcy wealth is a sufficient condition for restarting, I expect to see a positive relation between windfall wealth and serial entrepreneurship.

I begin with a descriptive analysis. Figure 2 shows the dynamics of the share of individuals who are entrepreneurs. The horizontal axis shows the years since bankruptcy, with year 0 denoting the year in which the court issues a bankruptcy ruling. The shares for the treated and control groups are illustrated with solid and dashed lines, respectively. The shaded area between event years 0 and 3 represents the inheritance window, during which inheritance events occur.

Figure 2 provides several stylized facts about the dynamics of entrepreneurship around bankruptcy. First, many entrepreneurs exit businesses as they approach bankruptcy, suggesting that their businesses are failing. Second, in the six years following bankruptcy, the share increases by only about 18 percentage points, from approximately 5% to 23%. Specifically, the treated group shows an increase of 19 percentage points, while the control group exhibits a similar increase of 17 percentage points.

Finally, the treated and control groups show a parallel trend before bankruptcy. Although the treated group exhibits a marginally higher share of entrepreneurs, the dif-

ference is both economically and statistically insignificant. Moreover, even after bankruptcy, the difference between the two groups remains insignificant. The trends shown in Figure 2, therefore, suggest that post-bankruptcy wealth alone may be insufficient to induce serial entrepreneurship.

To test this result more formally, I regress the indicator for entrepreneurship on windfall wealth and its size. Specifically, I estimate Equations 1 and 2. The dependent variable, $Entrepreneur_{it}$, is an indicator variable equal to one if individual i is an entrepreneur in event year t . Table 3 shows the results. The results are consistent with the univariate comparison in Figure 2, which suggests a small effect of inheritance on serial entrepreneurship. In Column 1, I find that the probability of entrepreneurship after receiving an inheritance is positive (3.1 percentage points), but not statistically significant. Next, in Columns 2 and 3, I address the potential concern that only substantial windfalls may affect the likelihood of restarting by exploiting variation in the size of inheritance. However, both columns suggest that the null effect in Column 1 is unlikely to be driven by inheritance size. In Column 2, the coefficient on $After\ inheritance \times Inherited\ wealth$ implies that an additional 1,000,000 DKK ($\approx 134,000$ EUR) of inherited wealth raises the probability of restarting by 10.5 percentage points in each post-inheritance year. The economic magnitude of this dose-response is modest in light of the average inheritance and dischargeable debt of 232,000 DKK and 809,000 DKK, respectively: at the mean inheritance, the implied marginal effect is about 2.4 percentage points per year. Moreover, the estimate is not statistically significant, suggesting no linear effect of inherited wealth. Similarly, Column 3 shows that recipients of above-median inheritances are no more likely to restart than recipients of below-median inheritances, where the median is about 108,000 DKK (14,500

EUR).³¹

Overall, the results in Table 3 suggest that post-bankruptcy wealth alone has no significant effect on serial entrepreneurship. This null result contrasts with prior findings of a positive relationship between greater wealth protection and first-time or overall entrepreneurship (Fan and White 2003; Armour and Cumming 2008; Cerqueiro et al. 2019), as well as a positive relation between wealth shocks outside bankruptcy and entrepreneurship (e.g., Holtz-Eakin et al. 1994; Andersen and Nielsen 2012; Bellon et al. 2021; Cespedes et al. 2021). The contrasting responses between failed and first-time entrepreneurs suggest that the experience of failure and its severity may discourage failed entrepreneurs from restarting.

4.3 Experience of severe losses and serial entrepreneurship

Next, I investigate the role of past entrepreneurial experience in serial entrepreneurship. Personal entrepreneurial experience may affect the probability of starting a second venture, particularly given that prior literature shows that managers' negative experiences — such as corporate bankruptcy — decrease their risk-taking (Malmendier et al. 2011; Dittmar and Duchin 2016; Schoar and Zuo 2017). While bankruptcy itself can be a distressing experience (e.g., due to the stigma attached to managers who go bankrupt, as in Grindaker et al. 2021; Bernstein et al. 2024), I focus on entrepreneurial experiences that have a *severe* impact on personal income and wealth. I identify three measures of such experiences.

First, I define severe losses based on whether an individual experiences negative personal income from entrepreneurship at any point during the pre-bankruptcy periods.³²

³¹I obtain similar results if I instead use the indicator for inheritances in the largest quartile.

³²In Denmark, entrepreneurial losses can be used for a deduction in taxable income in the same year if

This measure is defined only for entrepreneurs who managed a ULC before bankruptcy; I assign a value of zero, rather than a missing value, to entrepreneurs who managed only an LLC, so that the latter remain in the sample. Second, I classify whether over-indebtedness, which leads to subsequent bankruptcy, originates primarily from entrepreneurship. An ideal measure would be to classify each type of debt as business-related or not, but such a granular level of data is unavailable to me. Nevertheless, the institutional feature of the Danish bankruptcy system allows me to approximate the ideal measure. As discussed in Section 2, failed entrepreneurs with large business debts are eligible to file under the business debt chapter, a more lenient procedure than the ordinary chapter. Thus, bankrupt entrepreneurs under the business debt chapter are more likely to have accumulated large debt due to entrepreneurial failure than those under the ordinary chapter. Third, I define whether an individual was solely a ULC entrepreneur before bankruptcy — that is, an entrepreneur who managed only a ULC (rather than also managing an LLC) — implying the individual is *fully* liable for the business debts.³³ Although some entrepreneurs enter bankruptcy because of personal guarantees on their LLC's debt, entrepreneurs who managed LLCs are generally less likely to be held *fully* liable for business debt than those who managed ULCs. Conversely, entrepreneurs who managed ULCs are more likely to suffer severe losses from business failure than those who managed LLCs. Using these three measures of adverse shocks to income or wealth, I test whether experiences of severe losses hold back bankrupt entrepreneurs from restarting despite windfall wealth.

an entrepreneur has another salaried job or earns positive capital income. However, the tax deduction is unlikely to significantly offset the loss in total income in the year given that my sample consists of full-time entrepreneurs who have little financial wealth.

³³I use an indicator for “solely ULC entrepreneur” rather than for “any ULC entrepreneur” because the latter does not distinguish entrepreneurs who managed both an LLC and a ULC from those who managed only a ULC.

To explore the role of severe losses, I begin with a descriptive analysis. Figure 3 plots the share of individuals who are entrepreneurs around bankruptcy, with panels (a)–(c) corresponding to the three measures of severe losses. Within each panel, the sample is split into left and right subplots by whether the individual experiences severe losses. Figure 3 highlights two stylized facts about how severe losses shape entrepreneurship before and after bankruptcy.

First, in every subplot the treated and control groups trace the same broad path—a steep decline in entrepreneurship as bankruptcy approaches, followed by a recovery—and the decline is steeper for entrepreneurs who experienced severe losses, indicating a faster deterioration of their businesses. Second, during the post-bankruptcy period, the rate of serial entrepreneurship diverges between the treated and control groups. The control group’s rate (dashed lines) is similar regardless of whether the individual experienced severe losses (around 20–25%). The treated group’s rate (solid lines), by contrast, differs markedly by experience of severe losses. For instance, in panel (a), among those who experienced *no* severe income loss (left subplot), about 30% become serial entrepreneurs after receiving windfall wealth, whereas among those who experienced severe income loss (right subplot), fewer than 20% do. The positive effect of post-bankruptcy wealth on serial entrepreneurship therefore appears concentrated among those who did not experience severe income loss. I observe the same conditional pattern in panels (b) and (c). The visual evidence thus indicates that bankrupt entrepreneurs who experienced severe losses are less likely to respond to windfall wealth by starting a new business. Figure 3 is descriptive: it motivates the formal heterogeneity tests rather than substituting for them. I test the pattern directly in the matched stacked specification, interacting *After inheritance* with each measure of severe losses, which adds the controls, fixed effects, and

inference that the figure omits.

Next, I investigate the results in Figure 3 more formally by estimating the following linear probability model. I extend Equation 1 by interacting *After inheritance*_{ict} with an indicator for experiencing severe losses:

$$Y_{ict} = \beta_1 \text{After inheritance}_{ict} + \beta_2 \text{After inheritance}_{ict} \times \text{Severe losses}_i + \delta X'_{ict} + \alpha_{ic} + \kappa_{ct} + \gamma_a + \varepsilon_{ict}, \quad (3)$$

where *Severe losses*_i is an indicator variable equal to one if individual *i* experiences severe losses from business before bankruptcy, which is one of the following three measures: *Severe income loss*_i, *Business debt chapter*_i, or *Full personal liability*_i. Specifically, these measures are defined as follows: *Severe income loss* is an indicator variable equal to one if the individual experiences negative entrepreneurial income before bankruptcy; *Business debt chapter* is an indicator variable equal to one if the individual files for bankruptcy under the business debt chapter; *Full personal liability* is an indicator variable equal to one if the individual was solely a ULC entrepreneur prior to bankruptcy (i.e., managed only a ULC rather than an LLC). Each measure enters a separate regression. The main effect of *Severe losses*_i is absorbed by the individual-by-cohort fixed effect α_{ic} . The coefficients of interest are β_1 and β_2 , which capture how the effect of inheritance on the probability of restarting depends on experiencing severe losses: β_1 identifies the post-inheritance likelihood of restarting for entrepreneurs who do not experience severe losses, and $\beta_1 + \beta_2$ the likelihood for those who do.

Table 4 reports the results from estimating Equation 3 using the three measures of severe losses. I find that experiencing severe losses from entrepreneurship deters restarting despite greater post-bankruptcy wealth. In Column 1, I begin with the first measure,

Severe income loss. The coefficient on *After inheritance* suggests that inheritance increases the probability of entrepreneurship after bankruptcy by 7.5 percentage points per year. The magnitude is economically large relative to the baseline probability of serial entrepreneurship of 16.7% in the sample. The negative coefficient on *After inheritance* $\times$ *Severe income loss* is larger in absolute value and more than offsets this positive effect, leaving essentially no net response for entrepreneurs who experienced severe income loss. The positive effect of inheritance is thus concentrated among entrepreneurs who did not experience severe losses.

In Column 2, using the second measure, *Business debt chapter*, I find that severe indebtedness from failed businesses has a similar negative effect on the probability of restarting. The positive coefficient on *After inheritance* suggests that entrepreneurs who go bankrupt without significant business debt are more likely to restart, whereas the negative coefficient on *After inheritance* $\times$ *Business debt chapter* suggests that accumulating large debt from business deters serial entrepreneurship.

Lastly, in Column 3, using the third measure, *Full personal liability*, I find that holding *full* personal liability from failed businesses has a negative effect on the probability of restarting. The large positive coefficient on *After inheritance* suggests that, after receiving an inheritance, former LLC entrepreneurs are more likely to restart, by 14.2 percentage points per year. The negative coefficient on *After inheritance* $\times$ *Full personal liability* suggests that entrepreneurs who managed only ULCs prior to bankruptcy do not restart in response to inheritance. Although the interaction term is not statistically significant at conventional levels, the economic magnitude is large relative to the sample mean of serial entrepreneurship of about 16.7%.

Across all three measures, then, experiencing severe losses deters restarting even as

inheritance raises post-bankruptcy wealth. Two concerns could complicate this interpretation. First, as a design check, the size of inheritance might itself differ by experience: entrepreneurs who experienced severe losses might receive smaller windfalls, which would confound the comparison. Second, the deterrent effect of severe losses might not be uniform: a sufficiently large windfall could overcome it. I address each in turn.

I first examine whether inheritance size differs by experience. Specifically, I estimate Equation 3 using each of the three measures of severe losses, with the level of net wealth as the dependent variable. Table IA.2 reports the results. The main coefficient *After inheritance* is consistently positive and statistically significant, confirming the baseline effect of inheritance on post-bankruptcy wealth. None of the interaction terms (*After inheritance* $\times$ *Severe losses*) is statistically significant, indicating that entrepreneurs who experienced severe losses receive a similar amount of inheritance to those who did not. The size of the windfall therefore does not differ systematically by the severity of business failure.

Having established that inheritance size does not differ by severity, I turn to the second possibility: that a larger inheritance might help overcome the negative effect of severe losses on serial entrepreneurship. To address this, I exploit variation in inheritance size, as in Columns 2 and 3 of Table 3, by extending Equation 2 to interact *Severe losses_i* with *Size_i*. Tables IA.3 and IA.4 report the results for the two measures of inheritance size, respectively. In both tables, the negative association between severe losses and restarting is present, as shown by the coefficients on *After inheritance_{ict}* $\times$ *Severe losses_i*, though it reaches significance only in the continuous-size specification (Table IA.3). The triple-interaction terms, which would capture any attenuation of this effect by a larger windfall, are statistically insignificant in both tables and inconsistent in sign across them. I there-

fore find no robust evidence that a larger windfall offsets the negative effect of severe losses.

Overall, these findings suggest that the near-zero average effect in Table 3 masks sharply different responses: the positive response to windfall wealth is concentrated among entrepreneurs who did not experience severe losses, while those who did show essentially no response. Although wealth windfalls relax financial constraints, my results indicate that the experience of severe losses may decrease failed entrepreneurs' willingness to start another business. Those without such experience respond to windfall wealth and restart a business. These different responses to windfall wealth suggest that the propensity to start a new business after bankruptcy is a joint function of the amount of post-bankruptcy wealth and the personal experience of severe losses from failed entrepreneurship.

4.4 Performance of serial entrepreneurs

In the previous sections, I find that failed entrepreneurs respond to greater post-bankruptcy wealth only if they experienced less severe losses. In this section, I ask whether the entrepreneurs whom this wealth induces to restart are of lower quality. I return to my main sample of treated and control entrepreneurs and compare entrepreneurial performance, measured by business survival and entrepreneurial income, between those who restart with and without an inheritance. This comparison speaks to a central concern about second-chance policies. On one hand, if greater post-bankruptcy wealth merely relaxes a binding financial constraint among otherwise viable entrepreneurs, the marginal entrepreneurs, those who restart only because of the windfall, should perform no worse than the average entrepreneur, who is able to restart without it. On the other hand, if the windfall instead induces lower-quality entrepreneurs to restart, the marginal entrepre-

neurs will underperform, and inducing them to restart may simply revive ventures that fail again. The survival and income comparisons that follow provide a test of which case prevails.

I first examine the survival of restarted businesses. Whereas the baseline analysis studies the probability of restarting, the survival analysis asks how long a restarted business remains in operation. The analysis is therefore cross-sectional: I return to my main sample and restrict attention to bankrupt entrepreneurs who restart a business. I define a restarted business as surviving at horizon h if the entrepreneur remains in business h years after the restart year, and I consider two horizons, three and five years.

I begin with a descriptive analysis. Figure [IA.5](#) reports three- and five-year survival rates for three mutually exclusive groups of restarting entrepreneurs: those who restart after receiving an inheritance, those who restart before receiving an inheritance, and those who restart and never inherit. The three groups differ in how the inheritance relates to the timing of the restart, which is why I keep them separate. Entrepreneurs who restart before inheriting had already opened a business when the inheritance arrived; for them, the inheritance bears on the survival of an existing business rather than on opening a new business. The comparison of interest is therefore between the marginal entrepreneurs, who restart only after inheriting, and the average entrepreneurs, who restart without ever inheriting. As Figure [IA.5](#) shows, entrepreneurs who restart after inheriting have the lowest survival rates, about 48% at three years and 21% at five years, compared with about 57% and 29% for those who restart but never inherit. Those who restart before inheriting survive at the highest rate, about 86% and 55% at three and five years, respectively.

To test this pattern more formally, I estimate the following linear probability model

on the sample of restarting entrepreneurs:

$$Survive_i^h = \alpha + \beta_1 Restarted\ after_i + \beta_2 Restarted\ before_i + \gamma' X_i + \delta_t + \theta_a + \varepsilon_i, \quad (4)$$

where the dependent variable, $Survive_i^h$, is an indicator equal to one if entrepreneur i remains in business h years after the restart year, estimated separately for $h = 3$ and $h = 5$. $Restarted\ after_i$ and $Restarted\ before_i$ are indicators equal to one for treated entrepreneurs who restart after and before receiving an inheritance, respectively; the omitted group consists of matched control entrepreneurs who restart and never inherit. For the control vector X_i , I include the individual controls used in matching—wealth measured one year before bankruptcy, gender, and the discharge ratio—together with the severe-losses controls (three indicators). I also include year-of-restarting fixed effects (δ_t) and age-bin fixed effects (θ_a , based on age at bankruptcy in five-year bins) to absorb time and lifecycle effects. Regressions are weighted so that each cohort contributes equally, and standard errors are clustered at the matched-cohort level; because few cohorts contain a treated restarter, I base inference on a wild-cluster bootstrap (Cameron et al. 2008; MacKinnon and Webb 2018). The coefficient of interest, β_1 , measures the survival of entrepreneurs who restart after inheriting, relative to entrepreneurs who restart without ever inheriting. A negative β_1 indicates that the marginal entrepreneurs survive at a lower rate than the average entrepreneur who restarts without it.

Table 5 reports the estimates, which are consistent with Figure IA.5. Conditional on controls, restarting after an inheritance is associated with a three-year survival rate about 20 percentage points lower than that of the never-inherit benchmark, whose three-year survival is about 57%. The estimate is significant at the 10% level under the wild-cluster

bootstrap. The five-year estimate is smaller, about 10 percentage points, and is not statistically significant. Nevertheless, the economic magnitude is sizable compared to the benchmark group's survival rate of 29%. By contrast, the coefficient on restarting before inheriting is positive and significant in both columns. Because this group restarts before the windfall arrives, its higher survival most plausibly reflects an inheritance supporting an already-operating business. I therefore do not read this positive coefficient as an effect of inheritance on *marginal* entrepreneurs. Taken together, the estimates provide suggestive evidence that the marginal entrepreneurs survive at lower rates than the average entrepreneur who restarts without a windfall. The pattern is consistent with negative selection, whereby greater post-bankruptcy wealth draws in restarts of lower quality.

In the second step, I compare income. The survival analysis provided suggestive evidence that entrepreneurs who restart after inheriting survive at no higher, and possibly lower, rates than those who restart without an inheritance; I now ask whether they also earn less. I return to the full matched sample, rather than the restarters alone, and compare income between the treated and control groups. Because the matched sample holds the bankruptcy experience and its severity fixed across the two groups, this comparison isolates the role of the inheritance in the income of post-bankruptcy entrepreneurs. It thereby bears on the same fork as before: whether greater post-bankruptcy wealth raises income by relaxing a binding constraint among viable entrepreneurs, or whether it instead draws in lower-quality restarts.

I begin with a descriptive analysis. Figure [IA.6](#) plots average labor and entrepreneurial income after bankruptcy, splitting individuals first by whether they are an entrepreneur and then by whether they receive an inheritance (the treated and control groups). Outside of entrepreneurship, the treated and control groups differ little in income, about

13,000 DKK. Among entrepreneurs, however, the gap widens to about 53,000 DKK, driven by lower income in the treated group: treated entrepreneurs earn about 41,000 DKK less than treated non-entrepreneurs, whereas income is essentially flat across the two states for the control group. This widening, a descriptive difference-in-differences of roughly 40,000 DKK, suggests that the marginal entrepreneurs earn less, and it anticipates the regression estimate below.

To compare the returns to entrepreneurship between the two groups more formally, I extend the baseline stacked difference-in-differences specification in Equation 1 by interacting *After inheritance* with an indicator for being an entrepreneur. I estimate

$$\begin{aligned} \text{Income}_{ict} = & \beta_1 \text{After inheritance}_{ict} + \beta_2 \text{Entrepreneur}_{ict} + \beta_3 \text{After inheritance}_{ict} \times \text{Entrepreneur}_{ict} \\ & + \beta_4 \text{After bankruptcy}_{ict} \times \text{Entrepreneur}_{ict} + \delta X'_{ict} + \alpha_{ic} + \kappa_{ct} + \gamma_a + \varepsilon_{ict}, \end{aligned} \quad (5)$$

where the dependent variable, Income_{ict} , is the income of individual i in cohort c in event year t , measured in two ways in separate columns: *Labor and entrepreneurial income* and *Total income*. $\text{Entrepreneur}_{ict}$ is an indicator equal to one if individual i is an entrepreneur in event year t . The fixed effects (α_{ic} , κ_{ct} , γ_a) and controls (X'_{ict}) are as in Equation 1, as are the weighting and clustering. The level of $\text{After bankruptcy}_{ict}$ is absorbed by κ_{ct} , because the bankruptcy occurs at the same event year for every member of a cohort; only its interaction with $\text{Entrepreneur}_{ict}$ is estimated, and it captures the entrepreneurial income of those who restart after bankruptcy but without an inheritance, the benchmark restarters. The coefficient of interest is β_3 , which measures the income of entrepreneurs who restart after inheriting relative to this benchmark.

Table 6 reports the estimates. The auxiliary coefficients behave as expected: *After*

inheritance is small and statistically insignificant, so the inheritance has little effect on income outside of entrepreneurship, consistent with a pure wealth effect rather than a labor-supply or income response among these working-age individuals; *Entrepreneur* is significantly negative, reflecting the weak pre-bankruptcy business income of these failed entrepreneurs; and *After bankruptcy* $\times$ *Entrepreneur* is significantly positive, consistent with the higher returns of benchmark entrepreneurs who restart without an inheritance.

The coefficient on *After inheritance* $\times$ *Entrepreneur* is negative in both columns. Entrepreneurs who restart after inheriting earn about 40,100 DKK less in labor and entrepreneurial income (Column 1) and about 29,100 DKK less in total income (Column 2) per year of entrepreneurship than the benchmark restarters. Neither estimate is statistically significant at conventional levels, but both are economically sizable—about 18% of the 218,000 DKK average labor and entrepreneurial income and about 11% of the 272,000 DKK average total income of post-inheritance entrepreneurs—and the Column 1 magnitude lines up with the descriptive difference-in-differences in Figure IA.6.

Taken together, the income estimates point in the same direction as the survival results: restarting after a windfall is associated with lower entrepreneurial income, mirroring the lower survival of these marginal entrepreneurs in Table 5. Although neither result is decisive on its own, the two are mutually consistent and point to the low performance of these marginal entrepreneurs. This pattern echoes prior work on lenient bankruptcy regimes. Cerqueiro et al. (2019) find that first-time entrepreneurs who start after increases in state-level wealth protection are less likely to survive than those who enter before, and Cahn et al. (2021) find that bankrupt entrepreneurs who restart after the removal of corporate bankruptcy flags are more likely to fail again. I complement these studies with direct evidence on income, showing that marginal entrepreneurs seem to earn lower profits,

which may in turn hasten their exit. Overall, the evidence is consistent with the marginal entrepreneurs drawn in by a more lenient bankruptcy regime being of lower quality.

5 Robustness checks

In this section, I perform additional tests to assess the robustness of the baseline findings. I first address the concern that the treated and control groups may differ in the inheritance they expect to receive, which could shape behavior even before any wind-fall is realized. Next, I examine whether experiencing severe losses merely proxies for low entrepreneurial quality. Finally, I test whether the deterrent effect of severe losses reflects the industry composition in which the businesses failed.

Alternative matched sample with additional matching by expected inheritance One concern is that the treated and control groups differ in *expected* inheritance, the family wealth they stand to receive, even though matching already balances their own pre-bankruptcy wealth. Such differences could bias the comparison through two channels: entrepreneurs with wealthier parents may have a higher baseline propensity to start a business, or may behave differently before bankruptcy (in filing, default, or risk-taking). The first channel is unlikely to drive my null baseline result, since even large *realized* inheritances do not raise the probability of restarting. To address both, I match on expected inheritance directly.³⁴ The alternative sample is matched identically, except that expected inheritance enters the Mahalanobis criteria (alongside net wealth at event years -3 to -1) and matches differing by more than 250,000 DKK are dropped. This yields a

³⁴I construct expected inheritance as for realized inheritance (Appendix IA.3)—parental wealth net of tax, split equally among prospective heirs—but evaluated in the year of the bankruptcy ruling rather than in the year a parent actually dies.

smaller sample of 149 treated and 393 control individuals, closely balanced on expected inheritance (about 183,000 vs. 161,000 DKK), so any residual difference in restart behavior is unlikely to run through the prospect of a windfall.

Tables IA.6, IA.7, and IA.8 reproduce the baseline and severe-losses results (Tables 3 and 4), the survival results (Table 5), and the income results (Table 6) in this alternative sample.³⁵ The results are qualitatively consistent with the main sample: receiving an inheritance does not raise the probability of restarting on its own, the positive response is concentrated among entrepreneurs who did not experience severe losses, and entrepreneurs who restart after inheriting survive at no higher—and if anything lower—rates and earn less. I therefore read this exercise as confirming that my findings are not driven by differences in expected inheritance between the treated and control groups.

Severe losses versus low entrepreneurial quality I address potential concerns that experiencing severe losses before bankruptcy may correlate with low entrepreneurial quality. To address this concern, I refine the tests in Table 4 to control for low relative performance during prior entrepreneurship. To this end, I compute the relative performance of entrepreneurs by collecting annual labor and entrepreneurial income data for the population of entrepreneurs (i.e., including non-bankrupt entrepreneurs). Next, I split entrepreneurs' income into deciles based on the 88-industry-year level.³⁶ The resulting indicator, *Low past performance*, equals one if an entrepreneur's income remains in the bottom decile in every year of entrepreneurship before bankruptcy. By requiring persistence,

³⁵The alternative-sample entrepreneurship table reproduces the baseline specification (Column 1 of Table 3) and the three severe-losses measures; I omit the two inheritance-size columns (Columns 2 and 3), whose results are likewise unchanged.

³⁶The median (average) number of members in 88-industry-year cells is, for example, 547 (2,965) in year 2006. I then exclude observations that have fewer than 25 members in an industry-year cell. The industry classification is based on the two-digit from NACE Rev. 2 division. I obtain similar results if I use the one-letter code, which divides the economy into 22 industries.

the measure distinguishes entrepreneurs of low ability from those who merely had a bad year. It is defined only for entrepreneurs whose industry-year cell is large enough, so the tests below run on a slightly smaller sample than Table 4.

Table 7 reports the results. Column 1 includes only low past performance, without the severe-losses measures. The positive coefficient on *After inheritance* (about 4.7 percentage points) indicates that entrepreneurs without persistently low performance are more likely to restart after a windfall.³⁷ The negative interaction with *Low past performance* more than offsets this response: persistent low performers are less likely to restart after inheriting. This pattern is consistent with models in which entrepreneurs learn about their ability through entry and failure (e.g., Jovanovic 1982).

Columns 2 through 4 add the severe-losses measures. Even after controlling for low past performance, the interaction of *After inheritance* with *Severe income loss* remains negative and significant (Column 2, about -10.8 percentage points), as do the interactions with *Business debt chapter* (Column 3) and *Full personal liability* (Column 4). Severe losses therefore dampen the restart response through a channel separate from low performance, whose own interaction stays negative and significant throughout. Overall, these results indicate that experiencing severe losses is distinct from low entrepreneurial quality.

Severe losses versus industry composition A potential concern is that the deterrent effect of severe losses reflects industry composition rather than the experience of severe losses: severe failures may concentrate in sectors whose entrepreneurs restart more slowly after bankruptcy. To address this, I augment the severe-losses specifications in Table 4 with fixed effects for the industry of the pre-bankruptcy business interacted with the event year, so that the interaction is identified only from entrepreneurs who failed in the

³⁷To conserve space, I report only the binary inheritance indicator, *After inheritance*.

same industry (two-digit from NACE Rev. 2 division) and are observed at the same event year, comparing those who did and did not experience severe losses. Table IA.5 shows the pattern in Table 4 is unchanged. Industry composition of failed businesses therefore does not account for the deterrent effect of severe losses.

6 Conclusion

Existing studies document that a higher level of wealth protection in personal bankruptcy is associated with an increase in first-time entrepreneurship (Fan and White 2003; Armour and Cumming 2008; Cerqueiro et al. 2019). In comparison to these studies, I find that such a relation does not hold among *failed* entrepreneurs, exploiting windfall wealth from inheritances to generate exogenous variation in post-bankruptcy wealth. My results further show that the muted response to greater post-bankruptcy wealth is driven by entrepreneurs who experienced severe losses from business failure. Additionally, the entrepreneurs who do respond appear to perform worse, with suggestive evidence of lower survival rates and lower income in their new businesses.

My study has implications for policy discussions about providing a second chance to failed entrepreneurs after bankruptcy. My findings suggest that increasing wealth protection in personal bankruptcy can provide entrepreneurs with a second chance, but that the effect is limited by personal experience of severe losses. Moreover, prior research documents the potential costs of such policies, such as credit rationing and higher interest rates for other entrepreneurs in the economy. Collectively, my findings inform the policy debate on whether increasing wealth protection is effective at fostering high-quality serial entrepreneurship.

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Figure 1: Net wealth around bankruptcy and inheritance

This figure plots the dynamics of average net wealth, defined as the difference between total assets and total debt. The horizontal axis shows the years since bankruptcy, with year 0 denoting the year in which the court issues a bankruptcy ruling. The solid line refers to bankrupt individuals who receive an inheritance between event years 0 and 3 (referred to as the ‘treated group’). The dashed line refers to a control group of bankrupt individuals who do not receive an inheritance; this group is matched to the treated group on the bankruptcy year, the bankruptcy chapter, gender, an indicator for experiencing severe income loss before bankruptcy, an indicator for prior unlimited liability company entrepreneurship, the discharge ratio (± 10 percentage points), age at the time of the ruling (± 5 years), and net wealth at event years -3 , -2 , and -1 (Mahalanobis nearest-neighbor matching, with up to five matched controls per treated entrepreneur). The shaded area between event years 0 and 3 represents the inheritance window, during which inheritance events occur. Each yearly mean is computed as a weighted average, with each treated entrepreneur assigned weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally to the plotted line. Net wealth is measured in thousands of 2015 DKK (1 Euro $\approx$ DKK 7.45).

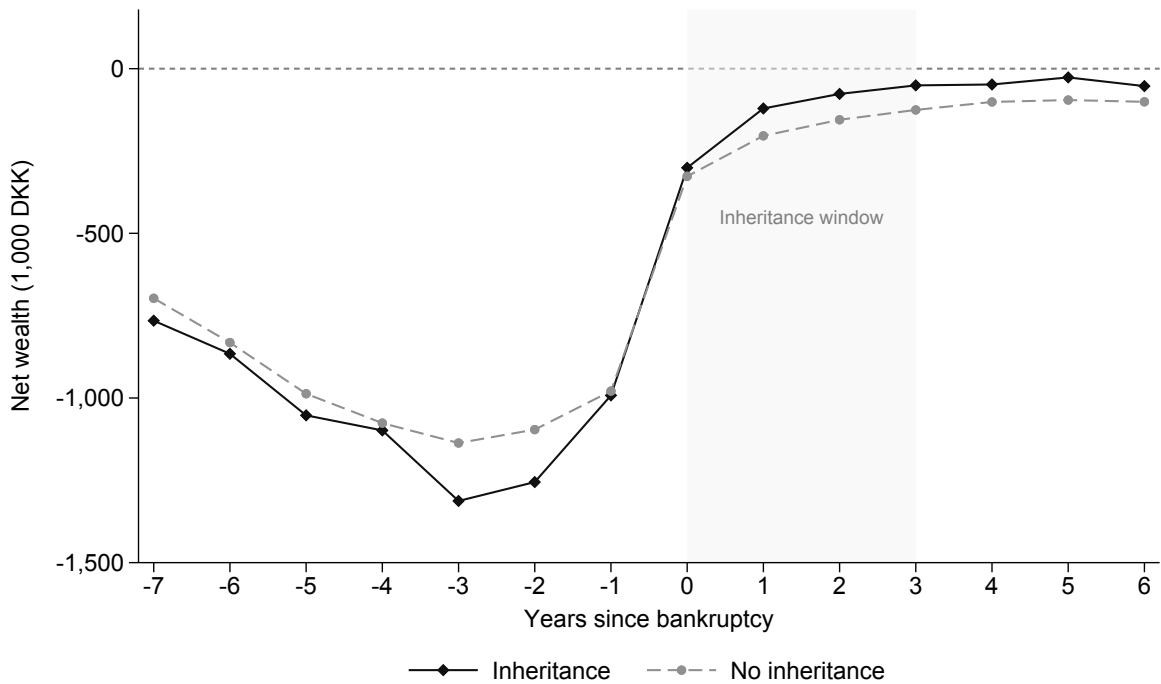


Figure 2: Entrepreneurship around bankruptcy

This figure plots the dynamics of the share of individuals who are entrepreneurs. The horizontal axis shows the years since bankruptcy, with year 0 denoting the year in which the court issues a bankruptcy ruling. The solid line refers to bankrupt individuals who receive an inheritance between event years 0 and 3 (referred to as the “treated group”). The dashed line refers to a control group of bankrupt individuals who do not receive an inheritance; this group is matched to the treated group on the bankruptcy year, the bankruptcy chapter, gender, an indicator for experiencing severe income loss before bankruptcy, an indicator for prior unlimited liability company entrepreneurship, the discharge ratio (± 10 percentage points), age at the time of the ruling (± 5 years), and net wealth at event years -3 , -2 , and -1 (Mahalanobis nearest-neighbor matching, with up to five matched controls per treated entrepreneur). The shaded area between event years 0 and 3 represents the inheritance window, during which inheritance events occur. Each yearly mean is computed as a weighted average, with each treated entrepreneur assigned weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally to the plotted line.

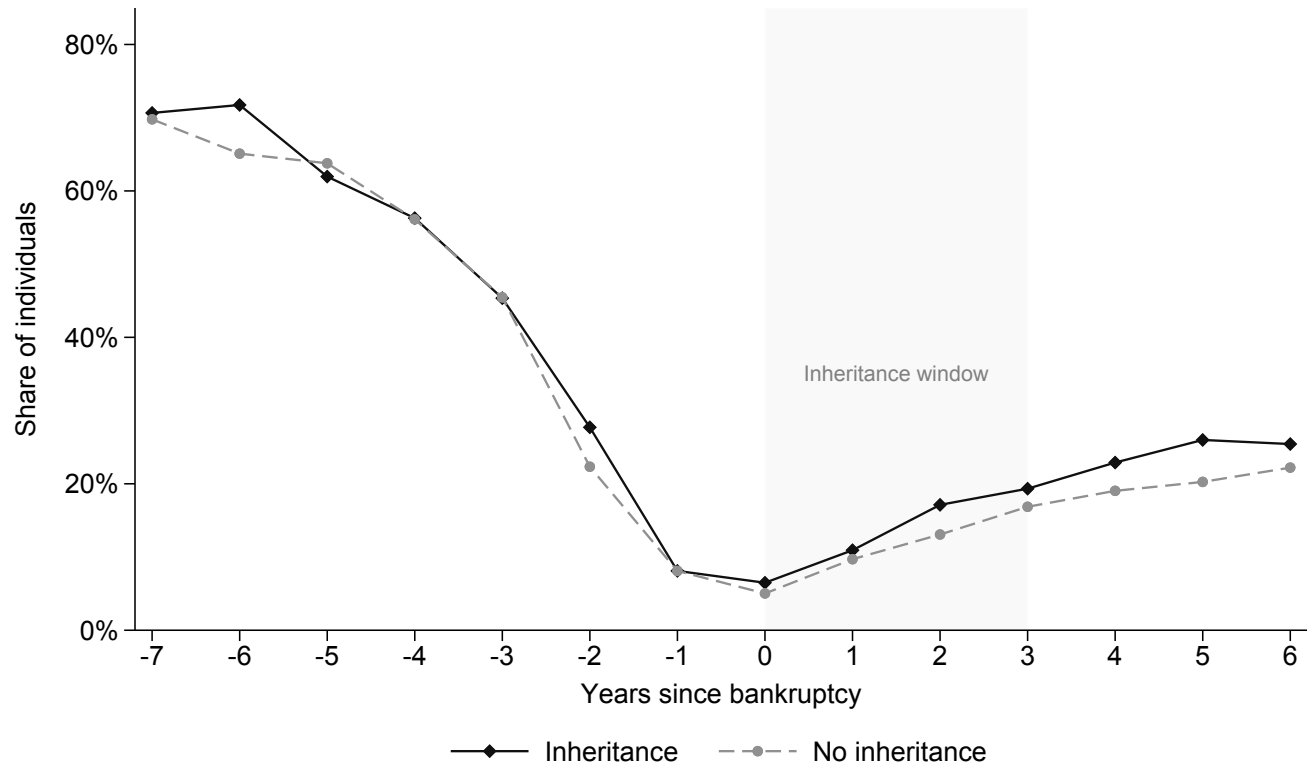
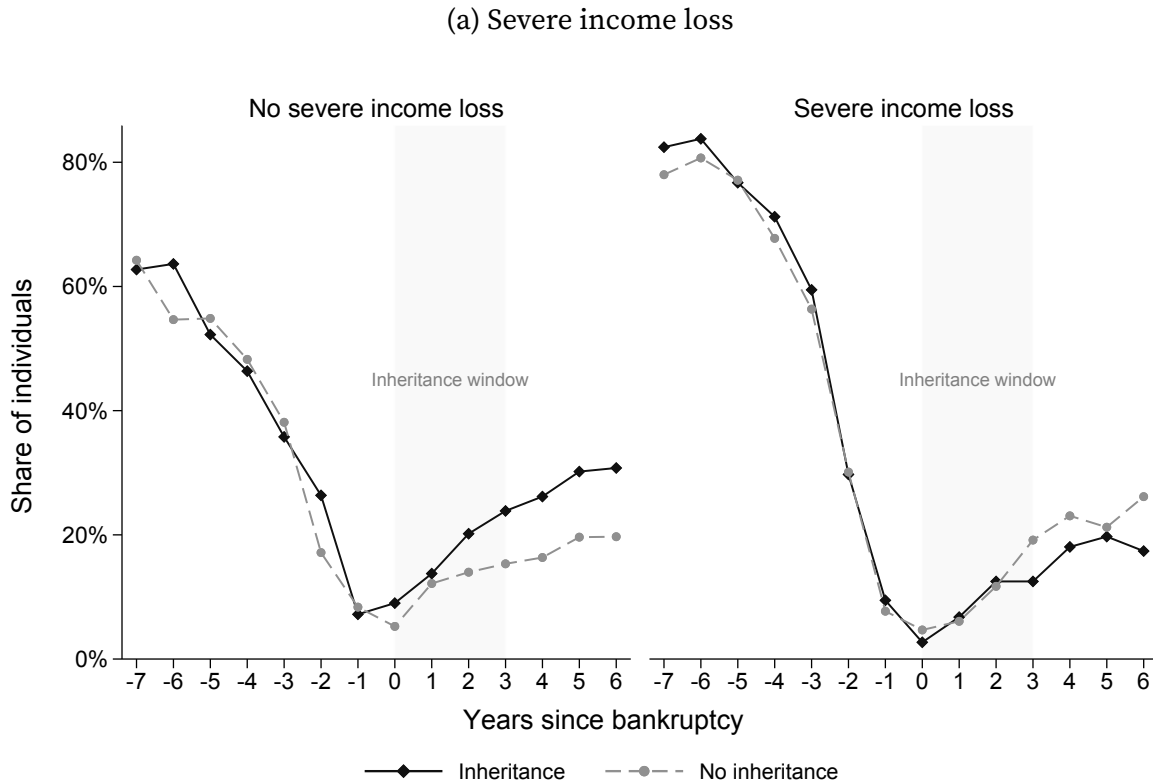
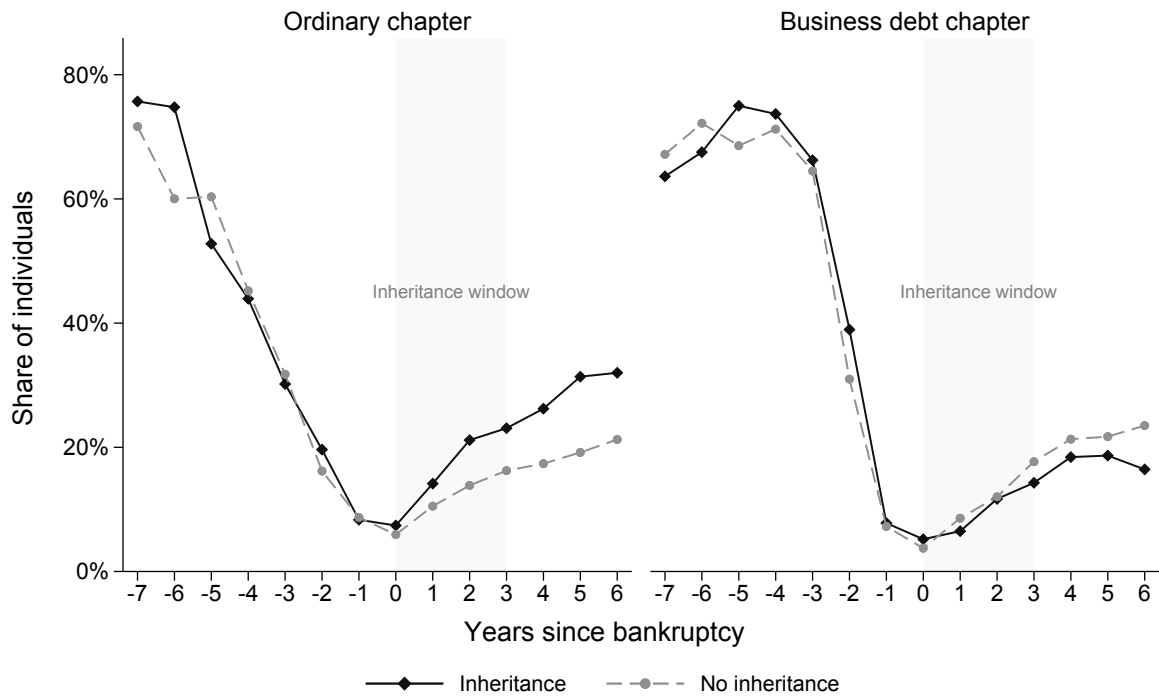


Figure 3: Severe losses and entrepreneurship around bankruptcy

This figure plots the dynamics of the share of individuals who are entrepreneurs across three types of experiences of severe losses. In all panels (a)–(c), the sample is split into left and right subplots by whether the individual experiences severe losses or not. In all panels, individuals who receive an inheritance between event years 0 and 3 (the treated group) are denoted in solid black lines, and individuals who do not receive an inheritance (the matched control group) are denoted in dashed grey lines. Panel (a) plots the dynamics split by whether the individual experiences negative entrepreneurial income before bankruptcy. Panel (b) plots the dynamics split by whether the individual files for bankruptcy under the business debt chapter, which is available for entrepreneurs with large business debts. Panel (c) plots the dynamics split by whether the individual experiences full personal liability (i.e., whether the individual solely managed an unlimited liability company before bankruptcy). Each yearly mean is computed as a weighted average, with each treated entrepreneur assigned weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally to the plotted line.



(b) Business debt chapter filing



(c) Full personal liability

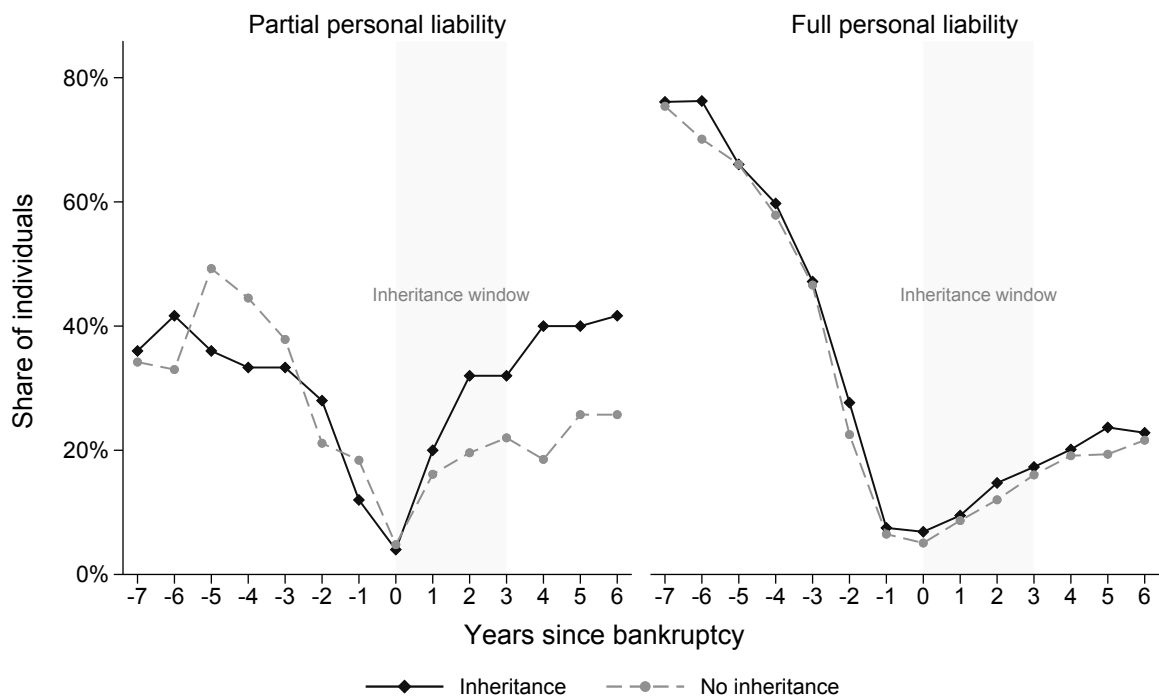


Table 1: Summary statistics

This table presents the mean and standard deviation of the main variables for the sample of entrepreneurs who go bankrupt between 2006 and 2017. Each column refers to one of the three groups of individuals in my sample: (a) all bankrupt entrepreneurs, (b) the “treated group” of entrepreneurs who receive an inheritance between the year of bankruptcy and three years afterward, and (c) the “control group,” which consists of entrepreneurs who do not receive an inheritance after bankruptcy and are matched to the treated group using procedures outlined in Section 3.3. Each treated entrepreneur is matched to up to five controls, which together form a cohort. The last column reports the difference in means between the treated and control groups, estimated by a weighted least-squares regression of the variable on a treatment indicator. Each treated entrepreneur is assigned weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally to the comparison. Standard errors are clustered at the matched-cohort level to account for the within-cohort dependence introduced by matching, following Abadie and Spiess (2022). The variables in this table are measured at the year of bankruptcy, except for those in Panel A. Panel A reports net wealth and total income, each measured at one year before bankruptcy and in thousands of 2015 DKK (1 Euro $\approx$ DKK 7.45). Panel B presents demographic data. Panel C reports the ruling bankruptcy chapter (business debt or ordinary chapters) and the discharge ratio (the share of debt discharged in bankruptcy to total unsecured debt). Panel D reports business experience from seven years to one year before bankruptcy: indicators for ULC entrepreneurship, severe income loss, and low past performance. *Severe income loss* is an indicator variable equal to one if the individual experiences negative entrepreneurial income before bankruptcy. *Low past performance* is an indicator variable equal to one if the individual’s annual entrepreneurial income has always remained in the bottom decile in the industry before bankruptcy. Standard deviations are in parentheses, and t -statistics are in brackets. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	All	Treated (1)	Control (2)	Difference (1)-(2)
A. Wealth and income (1,000 DKK)				
Pre-bankruptcy wealth	-1,220.6 (1,884.8)	-992.1 (1,635.4)	-978.9 (1,628.1)	-13.2 [-0.9]
Pre-bankruptcy total income	284.0 (112.9)	281.7 (106.5)	285.4 (113.9)	-3.6 [-0.4]
B. Individual characteristics				
Age	43.7 (8.3)	47.5 (6.6)	46.9 (6.6)	0.6*** [3.5]
Male (%)	73.4 (44.2)	82.7 (37.9)	82.7 (37.9)	-0.0 [-0.1]
Years of education	11.7 (1.8)	11.8 (1.9)	11.6 (2.0)	0.2 [1.1]
C. Bankruptcy case characteristics				
Business debt chapter (%)	46.1 (49.9)	41.6 (49.4)	41.6 (49.3)	-0.0 [-0.0]
Discharge ratio (%)	91.1 (13.1)	92.8 (8.0)	93.3 (7.4)	-0.5* [-1.7]
D. Pre-bankruptcy personal business experience				
Pre-bankruptcy ULC entrepreneur (%)	84.4 (36.3)	86.5 (34.3)	86.5 (34.2)	-0.0 [-0.1]
Severe income loss (%)	44.3 (49.7)	40.0 (49.1)	40.0 (49.0)	0.0 [0.0]
Low past performance (%)	3.8 (19.2)	1.8 (13.2)	2.3 (14.9)	-0.5 [-0.4]
Number of individuals	5,075	185	589	

Table 2: Inheritance as a source of post-bankruptcy wealth

This table reports estimates from the stacked difference-in-differences specification in Equation 1, examining the effect of post-bankruptcy inheritance on the levels of net wealth, total debt, and total assets (measured in thousands of 2015 DKK, where 1 Euro $\approx$ DKK 7.45). The treated group consists of bankrupt individuals who receive an inheritance between the year of bankruptcy and three years after; the control group consists of bankrupt individuals who do not receive an inheritance and is matched to the treated group on the bankruptcy year, the bankruptcy chapter, gender, an indicator for experiencing severe income loss before bankruptcy, an indicator for prior unlimited liability company entrepreneurship, the discharge ratio (± 10 percentage points), age at the time of the ruling (± 5 years), and net wealth at event years -3 , -2 , and -1 (Mahalanobis nearest-neighbor matching, with up to five matched controls per treated entrepreneur). The sample includes observations from seven years before bankruptcy until six years after. *After inheritance* is an indicator variable equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation throughout the cohort. The cohort-by-event-year fixed effects absorb the effect of the bankruptcy ruling, which occurs at the same event year for every member of a given cohort. All columns include time-varying individual controls, individual-by-cohort fixed effects, cohort-by-event-year fixed effects, and age-bin fixed effects (dummies for every five-year bin of age). Time-varying individual controls are: an indicator for being married and the number of children under the age of 18 living in the household. Regressions are weighted by assigning each treated entrepreneur weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally. Standard errors are clustered at the individual-by-cohort level and t -statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1) Net wealth	(2) Total debt	(3) Total assets
After inheritance	158.0*** (3.09)	-407.7*** (-3.24)	-189.9* (-1.90)
Time-varying individual controls	Yes	Yes	Yes
Individual $\times$ cohort fixed effects	Yes	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
R^2	0.89	0.92	0.87
Observations	10,705	10,705	10,705

Table 3: Post-bankruptcy wealth and serial entrepreneurship

This table reports estimates from the stacked difference-in-differences specifications in Equations 1 and 2, examining the effect of post-bankruptcy inheritance on the probability of entrepreneurship. The dependent variable, *Entrepreneur*, is an indicator variable equal to one if the individual is an entrepreneur in the year. Column 1 reports the baseline specification of Equation 1. Columns 2 and 3 report the size-interacted specification of Equation 2, with $Size_i$ set to $Inherited\ wealth_i$ in Column 2 and to $Large\ inheritance_i$ in Column 3. *After inheritance* is an indicator variable equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation throughout the cohort. $Inherited\ wealth_i$ is the amount of inherited wealth received by treated entrepreneur i , measured in millions of 2015 DKK. $Large\ inheritance_i$ is an indicator equal to one if individual i receives an above-median inheritance. Both are zero for control entrepreneurs. The treated and control groups are defined and matched as in Table 1. The sample includes observations from seven years before bankruptcy until six years after. All columns include time-varying individual controls, individual-by-cohort fixed effects, cohort-by-event-year fixed effects, and age-bin fixed effects (dummies for every five-year bin of age). Time-varying individual controls are an indicator for being married and the number of children under the age of 18 living in the household. Regressions are weighted by assigning each treated entrepreneur weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally. Standard errors are clustered at the individual-by-cohort level and t -statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)
After inheritance	0.031 (1.25)	0.007 (0.22)	0.052 (1.41)
After inheritance $\times$ Inherited wealth		0.105 (1.31)	
After inheritance $\times$ Large inheritance			-0.042 (-0.82)
Time-varying individual controls	Yes	Yes	Yes
Individual $\times$ cohort fixed effects	Yes	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
R^2	0.68	0.68	0.68
Observations	10,705	10,705	10,705

Table 4: Experiencing severe losses and serial entrepreneurship

This table reports estimates from the stacked difference-in-differences specifications in Equation 3, examining the effect of post-bankruptcy inheritance on the probability of entrepreneurship by the experience of severe losses. The dependent variable, *Entrepreneur*, is an indicator variable equal to one if the individual is an entrepreneur in the year. The primary independent variable, *After inheritance*, is an indicator equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation throughout the cohort. The interacted variables are defined in Section 4.3: in column (1), *Severe income loss* is an indicator variable equal to one if the individual experiences negative entrepreneurial income before bankruptcy; in column (2), *Business debt chapter* is an indicator variable equal to one if the individual files for bankruptcy under the business debt chapter; in column (3), *Full personal liability* is an indicator variable equal to one if the individual was solely an unlimited liability company entrepreneur prior to bankruptcy (rather than also managing a limited liability company). The treated and control groups are defined and matched as in Table 1. The sample includes observations from seven years before bankruptcy until six years after. All columns include time-varying individual controls, individual-by-cohort fixed effects, cohort-by-event-year fixed effects, and age-bin fixed effects (dummies for every five-year bin of age). Time-varying individual controls are an indicator for being married and the number of children under the age of 18 living in the household. Regressions are weighted by assigning each treated entrepreneur weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally. Standard errors are clustered at the individual-by-cohort level and t -statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)
After inheritance	0.075** (2.29)	0.086** (2.46)	0.142* (1.69)
After inheritance $\times$ Severe income loss	-0.107** (-2.06)		
After inheritance $\times$ Business debt chapter		-0.126** (-2.51)	
After inheritance $\times$ Full personal liability			-0.128 (-1.45)
Time-varying individual controls	Yes	Yes	Yes
Individual $\times$ cohort fixed effects	Yes	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
R^2	0.68	0.68	0.68
Observations	10,705	10,705	10,705

Table 5: Business survival

This table reports estimates from linear probability models in Equation 4, examining the survival of businesses restarted by bankrupt entrepreneurs in the main matched sample. The dependent variable is an indicator equal to one if the entrepreneur remains in business three (Column 1) or five (Column 2) years after the restart year. *Restarted after inheritance* is an indicator equal to one for treated entrepreneurs who restart a business after receiving an inheritance, and *Restarted before inheritance* is an indicator equal to one for those who restart before receiving an inheritance. The omitted group consists of matched control entrepreneurs who restart a business and never receive an inheritance. Individual controls are wealth measured one year before bankruptcy, gender, and the discharge ratio. Severe-losses controls are an indicator for the business debt chapter, an indicator for negative entrepreneurial income before bankruptcy, and an indicator for full personal liability. All columns include year-of-restarting fixed effects and age-bin fixed effects, which in this cross-sectional analysis are time-invariant and defined by age at bankruptcy in five-year bins. Regressions are weighted by assigning each treated entrepreneur weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally. Standard errors are clustered at the matched-cohort level, and t -statistics based on the analytic cluster-robust variance are reported in parentheses. Because few matched cohorts contain a treated restarter, inference is based on the wild-cluster bootstrap (Cameron et al. 2008; MacKinnon and Webb 2018). The bootstrap p -values and confidence intervals use Webb weights with 9,999 replications, impose the null, and cluster at the matched-cohort level. Significance stars are based on the wild-cluster bootstrap p -values. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively. *Matched-cohort clusters* reports the number of matched-cohort clusters in the estimation sample, the level at which standard errors are clustered.

	(1) Three-year survival	(2) Five-year survival
Restarted after inheritance	-0.196* (-1.92)	-0.101 (-1.20)
Wild-cluster bootstrap 95% CI	[-0.420, 0.031]	[-0.273, 0.077]
Restarted before inheritance	0.350*** (3.05)	0.276* (2.15)
Wild-cluster bootstrap 95% CI	[0.095, 0.592]	[-0.011, 0.564]
Individual controls	Yes	Yes
Severe-losses controls	Yes	Yes
Year-of-restarting fixed effects	Yes	Yes
Age-bin fixed effects	Yes	Yes
R^2	0.28	0.31
Observations	226	203
Matched-cohort clusters	131	123

Table 6: Returns to post-bankruptcy serial entrepreneurship

This table reports estimates from the stacked difference-in-differences specification in Equation 5, examining the effect of post-bankruptcy inheritance on entrepreneurial income in the main matched sample. In Column 1 the dependent variable is *Labor and entrepreneurial income*, and in Column 2 it is *Total income*; both are measured in thousands of 2015 DKK (1 Euro $\approx$ DKK 7.45). The sample includes observations from seven years before bankruptcy to six years after. The treated group consists of bankrupt entrepreneurs who receive an inheritance after bankruptcy, and the matched control group consists of bankrupt entrepreneurs who never inherit. *Entrepreneur* is an indicator equal to one if the individual is an entrepreneur in the event year. *After inheritance* is an indicator equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation throughout the cohort. *After bankruptcy* is an indicator equal to one for all cohort members in event years on or after the bankruptcy; because the bankruptcy occurs at the same event year for every member of a given cohort, its level is absorbed by the cohort-by-event-year fixed effects, and only its interaction with *Entrepreneur* is estimated. All columns include time-varying individual controls, individual-by-cohort fixed effects, cohort-by-event-year fixed effects, and age-bin fixed effects (five-year age bins). Time-varying individual controls are an indicator for being married and the number of children under age 18 living in the household. Regressions are weighted by assigning each treated entrepreneur weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally. Standard errors are clustered at the individual-by-cohort level and t -statistics are reported in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	Labor and entrepreneurial income (1)	Total income (2)
After inheritance	-1.2 (-0.10)	11.0 (1.06)
Entrepreneur	-61.5*** (-5.75)	-66.6*** (-6.18)
After bankruptcy $\times$ Entrepreneur	44.8** (2.44)	38.5** (2.09)
After inheritance $\times$ Entrepreneur	-40.1 (-1.54)	-29.1 (-1.10)
Time-varying individual controls	Yes	Yes
Individual $\times$ cohort fixed effects	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes
Age-bin fixed effects	Yes	Yes
R^2	0.68	0.66
Observations	10,705	10,705

Table 7: Severe losses versus low entrepreneurial quality

This table augments the severe-losses specifications in Table 4 with a control for poor past performance. The dependent variable, *Entrepreneur*, is an indicator equal to one if the individual is an entrepreneur in the year. *After inheritance* is an indicator equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation. *Low past performance* is an indicator equal to one if the individual's entrepreneurial income remained in the bottom decile of its industry-by-year cell in every year of entrepreneurship before bankruptcy, as described in Section 5. Because this measure requires the industry-year cell to contain at least 25 entrepreneurs, the sample is slightly smaller than in Table 4. The three severe-losses measures—*Severe income loss*, *Business debt chapter*, and *Full personal liability*—are defined in Section 4.3 and entered one per column in Columns 2–4. The estimating equation, controls, fixed effects, weighting, and clustering are as in the notes to Table 4. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)
After inheritance	0.047* (1.72)	0.095** (2.55)	0.109*** (2.95)	0.480*** (2.86)
After inheritance × Low past performance	-0.371** (-2.47)	-0.345** (-2.46)	-0.435*** (-2.85)	-0.354** (-2.34)
After inheritance × Severe income loss		-0.108* (-1.95)		
After inheritance × Business debt chapter			-0.151*** (-2.72)	
After inheritance × Full personal liability				-0.456*** (-2.68)
Time-varying individual controls	Yes	Yes	Yes	Yes
Individual × cohort fixed effects	Yes	Yes	Yes	Yes
Cohort × event-year fixed effects	Yes	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes	Yes
R^2	0.68	0.68	0.68	0.68
Observations	9,750	9,750	9,750	9,750

Internet Appendix to

**“Post-Bankruptcy Wealth and
Serial Entrepreneurship”**

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IA.1 Detailed procedures in bankruptcy proceedings

Liquidation proceedings for individual debtors (*personlig konkurs*) Under liquidation proceedings for private individuals, debtors liquidate their assets to pay the debt. Liquidation proceedings can be filed by either a debtor or creditor. During my sample period, it costs DKK 750 to file for bankruptcy. In addition, the filer must provide security of DKK 30,000 to cover the administrative costs. If the court decides that the debtor is insolvent, i.e., has no ability to meet debt obligations (of either secured or unsecured debt), it issues a liquidation decree. The court then appoints a trustee who collects and sells the assets owned by the debtor. All assets that are deemed not necessary to have a modest home and live a modest life will be liquidated. The proceeds from the sale are used to repay debt. Importantly, liquidation does not automatically discharge the remaining unpaid debt. To receive the discharge, debtors need to apply separately for bankruptcy proceedings.

Bankruptcy proceedings (*gældssanering*) Bankruptcy proceedings begin when the debtor files with the court in the jurisdiction of residence. There is no fee associated with filing. Upon submission, the debtor is mandated to provide the court with a comprehensive financial disclosure, including any prospective inheritances or renunciations thereof (Hindborg 2017, pp. 59–60). The court reviews the filing and will dismiss it if it fails to meet the requirements for bankruptcy protection. Key requirements include the following: the majority of debt should *not* consist of debts for private consumption purposes; the debtor must not have engaged in financially irresponsible behavior, such as accumulating debt without attempts at repayment; and the debtor must have a stable financial situation, characterized by a reliable income stream from regular employment and no expected wealth gains. According to Kilborn (2009), about 60% of filings are dismissed at

this stage. Filing dismissals are not announced on the State Gazette.

If the requirements are met, the court formally opens a bankruptcy case and announces the opening on the State Gazette. After opening the case, the court summons creditors to submit claims and asks the debtor to submit a repayment plan. Under the repayment plan, the debtor uses all disposable income to pay part of the unsecured debt. The installments are paid monthly and last three to five years. If the plan is feasible, the court accepts it and issues the ruling for bankruptcy, which discharges any remaining unpaid debt.¹ In my sample, about 10% of cases are rejected at this stage. The ruling is announced on the State Gazette. The average duration between case opening and ruling is about 9.5 months in my main sample. After the ruling, debtors are allowed to shorten the repayment duration by paying all or part of the installments at once. The source of such down payment can be, for example, a loan from a third party or cash windfalls. In addition, a ruling can be cancelled if the debtor grossly neglects the duty (e.g., failing to repay installments) or if the court or a creditor discovers that the debtor failed to disclose material information to creditors (e.g., concealing information about anticipated increases in wealth or income at filing). The cancellation of a ruling is announced on the State Gazette.

Other differences between ordinary and business debt chapters While bankruptcies under either ordinary or business debt chapters follow similar court procedures, they differ in both filing requirements and consequences after ruling.² Here, I list other differences between them that are not mentioned in Section 2 of the main text. First, under

¹If the court considers the debtor to have no ability to pay, such as due to a permanent illness, then the debtor may receive an immediate discharge from the entire unsecured debt.

²Bankruptcy under business debt chapter is commonly referred to as bankruptcy in connection with liquidation (*gældssanering i forbindelse med konkurs*) in Denmark, as it requires the debtor to be under liquidation proceeding before filing for bankruptcy. Formally, the business debt chapter requires the debtor to be under liquidation proceedings, whereas the ordinary chapter does not; in practice, even in the ordinary chapter, the court requires the liquidation of debtors' assets of value, such as a house or a car.

the business debt chapter, the debtor can be unemployed or without stable income at filing, whereas under the ordinary chapter, the debtor must have a stable income from regular employment. This relaxed condition allows failed entrepreneurs who have recently reopened a business to file for bankruptcy, even without stable income. Second, following a ruling under the business debt chapter, the debtor is prohibited from filing for bankruptcy under the same chapter for a subsequent 10-year period. Third, if a debtor under the business debt chapter did not have stable income at the time the plan was approved, upon subsequent acquisition of a stable income source (due to a new job or business comeback), the court may modify the repayment terms to increase the repayment amount.

IA.2 Data description

1. The State Gazette of Denmark (*Statstidende*): The State Gazette is a government gazette that publicly announces statutory notices on court proceedings. I parse the State Gazette documents into notices on bankruptcy rulings and identify bankrupt individuals. I start with about 3,000 issues of the State Gazette from 2006 through 2017. Each issue contains a document index, which I use to locate sections on liquidation and bankruptcy proceedings. (See a sample page in Figure [IA.1](#).) Each section on liquidation (bankruptcy) proceedings contains, on average, 50 (22) notices, which leaves me with a total of about 160,000 (71,000) notices on different stages of court proceedings (e.g., whether a case opens, a ruling is made, or a ruling is cancelled). Each document groups notices by their stage, which is demarcated by subheadings. Notices on bankruptcy rulings are grouped under the subheading “Kendelse” (Ruling). See Figure [IA.2](#) for a representative Kendelse page.

Each bankruptcy notice contains structured, textual information on the court and the debtor. The court-side information includes the unique case identifier, the date of court decision, the discharge ratio, and the court that makes the decision. The debtor-side information includes the debtor's name, date of birth, and full address (either residential or associated with an owned company). If the debtor has owned a company, its unique identifier, known as the CVR-number, is also included. Because the notice on the bankruptcy ruling does not indicate the bankruptcy chapter, I infer it from the closest preceding notice on case opening, which contains such information. Combining the notices produces the list of approximately 20,000 individuals who receive bankruptcy rulings between 2006 and 2017.³ Next, I assign CPR identifiers to the debtors listed in the State Gazette. To achieve this, I use a combination of debtor-side information from the State Gazette, such as the debtors' full name, date of birth, address, and the unique identifiers of firms they own. After excluding debtors with insufficient details in the State Gazette, I successfully assign CPR identifiers to 77% of the debtors from the State Gazette.⁴

2. Statistics Denmark: I use administrative data from Statistics Denmark, which comprise several registers containing comprehensive information on income, wealth, education, labor supply, family (parents, spouse, and children), and parental death. These registers cover the entire population of Denmark and provide individual-level data on an annual basis, using a CPR identifier for each person. The data are considered highly

³From October 2005, the State Gazette transitioned to digital publication (accessible at <https://www.statstidende.dk>), making 2006 the first full calendar year for which digital forms are available. Bruze et al. (2024) use the same source to study the long-run effect of personal bankruptcy in Denmark (*gældssanering*), hand-collecting announcements from microfilm through 2005; my sample begins with the digital edition in 2006.

⁴The most common reason for non-assignment is when the debtor's date of birth and full name from the State Gazette matches multiple records in the administrative registers (due to having commonly used names). I exclude such multiple matches from the sample.

reliable. For instance, information on income, wealth, and employment status is directly sourced from official records from the Danish Tax and Customs Administration. Furthermore, the registers remain robust against attrition unless an individual either dies or emigrates from Denmark. Due to the high quality of the data, several studies on the drivers of business entry and exit have used these data sources (e.g., Nanda and Sørensen 2010; Andersen and Nielsen 2012; Agrawal et al. 2022; Jensen et al. 2022). I extract data from the registers for the years 1980 to 2023. I adjust variables denominated in Danish Kroner (DKK) to the 2015 price level and winsorize them at the 2.5 and 97.5 percentiles for each event year. To identify inheritance events and their magnitudes using these administrative registers, I follow the methodology of Andersen and Nielsen (2012). The detailed procedure is outlined in Appendix IA.3.

3. The Central Business Register (CVR: *Centrale Virksomhedsregister*): The Central Business Register contains firm-level information on all companies in Denmark.⁵ The relevant information includes incorporation status (either unlimited or limited liability company), industry (NACE codes), number of full-time equivalent employees, business address, founders, managers, and owners. The coverage of ownership information is more detailed from 2017 onward, when limited liability companies were mandated to report their beneficial owners. The dataset covers the period from 1990 to 2023.
4. Experian: To supplement the CVR data on ownership of limited liability companies, I use the Experian dataset. It assembles data from companies' annual reports, which list ownership for individuals or entities holding more than 5% of the share capital. The dataset is available between 2000 and 2019.

⁵Companies are required to report statutory information to the CVR.

IA.3 Identifying inheritances from administrative registers

I outline the procedure for identifying inheritance events. I follow Andersen and Nielsen (2012), who capture inheritance events by combining several administrative registers in Denmark. The only difference from Andersen and Nielsen (2012) is that I examine all types of parental deaths, rather than sudden deaths.

The starting point is to identify deceased parents who cause a termination of the household. Terminations occur when the deceased has no spouse (a widow, widower, divorced, or never married) or both parents die in the same calendar year. For measuring the size of inheritances, I use wealth of the deceased parent(s) at the end of the year preceding death. I aggregate both parents' wealth if they die in the same year. This procedure generates the size of the estate.

Next, I only retain estates with positive wealth, discarding ones with zero or negative values. Estates with net worth exceeding DKK 242,400 in 2006 are subject to a 15% estate tax for children. This threshold is adjusted annually by a price index. Then, I link the estate to the children of the deceased who are over age 18 (beneficiaries). Following Andersen and Nielsen (2012), I restrict the sample to cases where all beneficiaries are children of the deceased. According to Danish inheritance law, inheritances are by default equally divided among children. I therefore equally divide the amount of the estate to yield the size of an inheritance.

In the final step, I link these inheritance events to the bankrupt entrepreneurs in my sample. I include parental deaths that occur after the bankruptcy ruling and up to three years after the year of ruling (event years 0, 1, 2, and 3).

One potential concern is that some parents may have owned a business at the time of death, in which case the child could inherit a going-concern business rather than purely

financial wealth. Such cases would confound the interpretation of inheritances as wind-fall wealth unrelated to entrepreneurial opportunities. I verify, however, that none of the treated individuals in the final estimation sample inherit a business from their parent, alleviating this concern.

IA.4 Example of the State Gazette of Denmark

IA.5 Additional descriptive figures

IA.6 Robustness tests

IA.6.1 Alternative specifications

IA.6.2 Alternative sample matched on expected inheritance

Figure IA.1: Example of a front page of the State Gazette

This figure displays a sample front page from the State Gazette. The document index located in the bottom-right corner (outlined by a dotted line for emphasis) specifies the page numbers for various sections. For example, notices on bankruptcy and liquidation proceedings (*Gældssanering* and *Konkursboer*) are listed from pages 31 and 39, respectively.



STATSTIDENDE

NR. 174 09.09.2016 113 . ÅRGANG

Udgivet i henhold til lov nr. 419 af 31. maj 2000.

STATSTIDENDE

www.statstidende.dk

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Figure IA.2: Example of bankruptcy notices published in the State Gazette

This figure displays a sample page of bankruptcy notices from the State Gazette. Notices on bankruptcy rulings are grouped under the subheading *Kendelse* (Ruling), which is outlined by a dotted line for emphasis. Personally identifiable information—such as full names, dates of birth, CVR-numbers, and street addresses—has been modified to preserve anonymity.

09.09.2016	STATSTIDENDE	38
torerne ikke får mulighed for at øve indflydelse på skifterettens afgørelse om gældssanering. John Mikkel Jensen har drevet virksomheden JollyShopping.com v/ John Jensen, CVR-nr. 12345678. Retten i Randers, den 07.09.2016. Retskreds Randers S07092016-304 I gældssaneringssagen for <i>Thomas Thomasen</i> Fødselsdato 10.02.1945 Møllebakken 9 3400 Hillerød Sagsnr. 1608-773 indkaldes kreditorerne til møde i Retten i Hillerød, Lokale B, Søndre Jernbanvej 18 B, stuen, 3400 Hillerød, mandag den 10.10.2016, kl. 13.00, til behandling af skyldnerens forslag til gældssanering. Forslaget med bilag ligger til eftersyn i skifteretten. Udeblivelse medfører, at kreditorerne ikke får mulighed for at udøve indflydelse på skifterettens afgørelse om gældssanering. Hillerød, den 07.09.2016. Advokat Kristian Kristiansen Retskreds Hillerød Kendelse (Ruling) S07092016-37 Skifteretten i Hjørring har den 06.09.2016 afsagt kendelse om gældssanering for	<i>Alice Mette Jakobsen</i> Fødselsdato 10.01.1964 Sønderparken 20 9800 Hjørring Sagsnr. SKS SKIF-261/2016 på følgende vilkår: Usikret gæld stiftet af Alice Mette Jakobsen før den 12.05.2016 nedsættes til en dividende på 0,6890%, der betales med en engangsudlodning, når kendelse om gældssanering er endelig. Hjørring, den 06.09.2016. Som skifterettens medhjælper: Jens Jensen, advokat Advokaterne Jens and Jesper Vestergade 3 9800 Hjørring Retskreds Hjørring S07092016-92 Sø- og Handelsrettens skifteret har den 06.09.2016 afsagt kendelse om gældssanering for <i>Jesper Rasmus Jespersen</i> Fødselsdato 19.10.1938 Waargrethevej 2, 4 th 2300 København S Sagsnr. G 46/16-K på følgende vilkår: Skyldnerens gæld stiftet inden den 12.04.2016 nedsættes til 34,94%, som afdrages over en fem-årig periode. Sø- og Handelsretten, Skifteretten, den 07.09.2016. Retskreds Sø- og Handelsretten 	S07092016-99 Sø- og Handelsrettens skifteret har den 06.09.2016 afsagt kendelse om gældssanering for <i>Ali Hesam Amadu</i> Fødselsdato 14.07.1957 Vestergade 14, 4 th. 2100 København Ø Sagsnr. G 76/16-K på følgende vilkår: Skyldnerens gæld stiftet inden den 13.04.2016 nedsættes til 7,15952% og afdrages over en fem-årig periode. Sø- og Handelsretten, Skifteretten, den 07.09.2016. Retskreds Sø- og Handelsretten S07092016-106 Sø- og Handelsrettens skifteret har den 06.09.2016 afsagt kendelse om gældssanering for <i>Annie Rasmussen</i> Fødselsdato 25.12.1980 Christian 8.s Vej 2B, 1 tv. 1805 Frederiksberg C Sagsnr. G 36/16-K på følgende vilkår: Skyldnerens gæld stiftet inden den 08.03.2016 nedsættes til 4,65628% og afdrages over med 4,18564% 4 uger efter endelig kendelse om gældssanering og 0,47064% den 01.05.2017. Sø- og Handelsretten, Skifteretten, den 07.09.2016. Retskreds Sø- og Handelsretten

Figure IA.3: Distribution of inheritance amounts

This figure reports the distribution of inheritance amounts. The top panel shows the distribution of inherited wealth across six mutually exclusive bins: positive amounts up to 10,000 DKK; 10,001–25,000 DKK; 25,001–100,000 DKK; 100,001–250,000 DKK; 250,001–500,000 DKK; and more than 500,000 DKK (which approximately correspond to EUR: 0.1 to 1,300, 1,301 to 3,400, 3,401 to 13,000, 13,001 to 34,000, 34,001 to 67,000, and those exceeding 67,000 EUR, respectively. Inherited wealth is measured in year-2015 DKK. The bottom panel reports the distribution of the ratio of inherited wealth to dischargeable debt according to four bins. Dischargeable debt is defined as unsecured debt measured at one year before the year of bankruptcy.

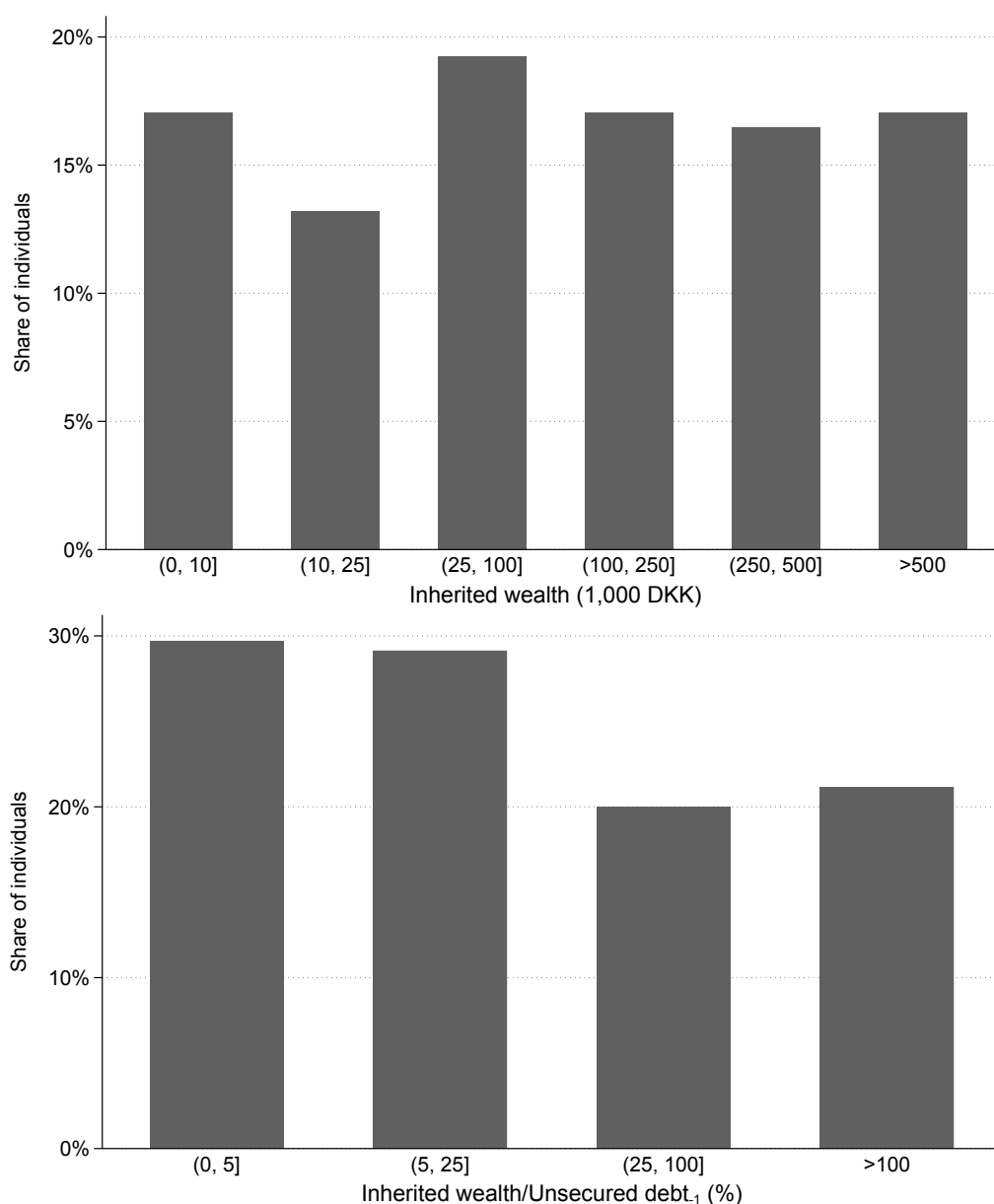


Figure IA.4: Inheritance timing

This figure reports the distribution of inheritance timing over event time, grouped by seven bins. The first bin represents the share of individuals who receive an inheritance within the first six months following their bankruptcy ruling date. Similarly, subsequent bins group people by intervals of six months.

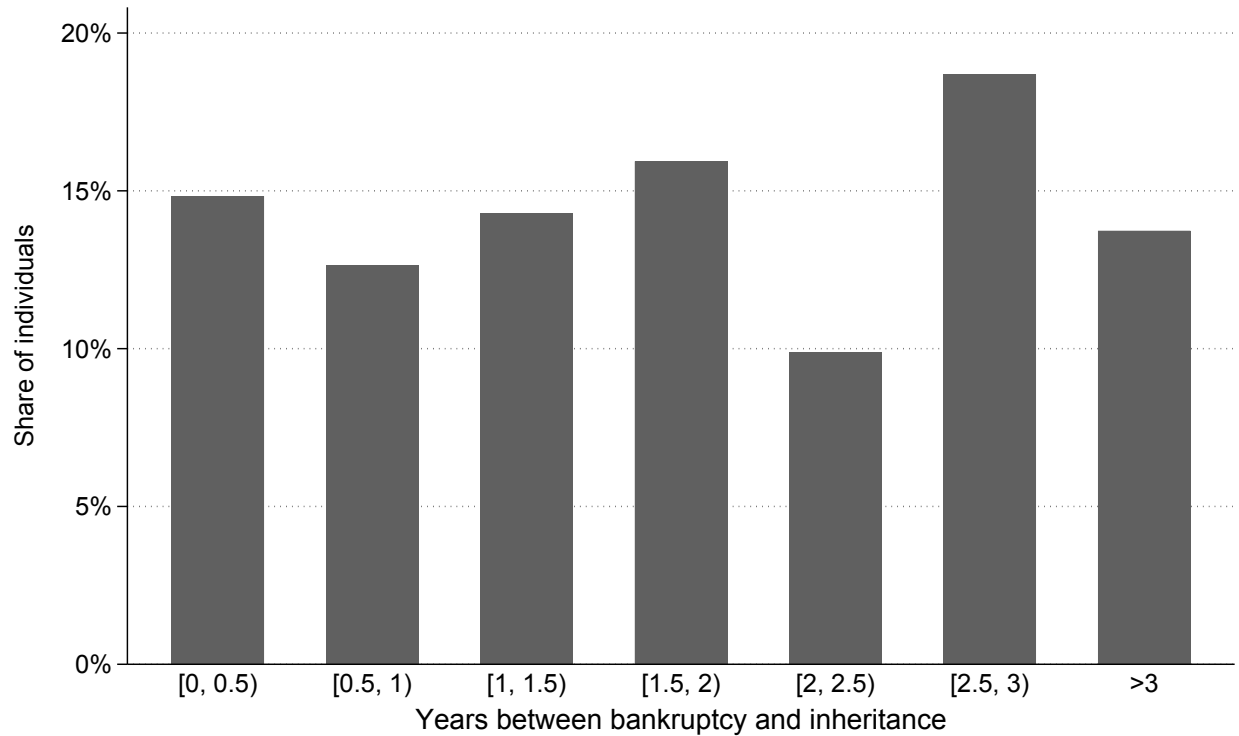


Figure IA.5: Business survival among serial entrepreneurs

This figure plots three- and five-year survival rates for businesses started by bankrupt entrepreneurs in the main matched sample. The sample consists of individuals who restart a business after bankruptcy. The horizontal axis separates restarting entrepreneurs into three mutually exclusive groups: those who restart after receiving an inheritance, those who restart before receiving an inheritance, and those who restart and never receive an inheritance. A business is defined as surviving at horizon h if the entrepreneur remains in business h years after the restart year. Dark grey bars report three-year survival rates, and light grey bars report five-year survival rates. Each bar is computed as a weighted average, assigning each treated entrepreneur weight one and each of her k matched controls weight $1/k$, so that each cohort contributes equally. Vertical lines report 95% confidence intervals around the weighted group means.

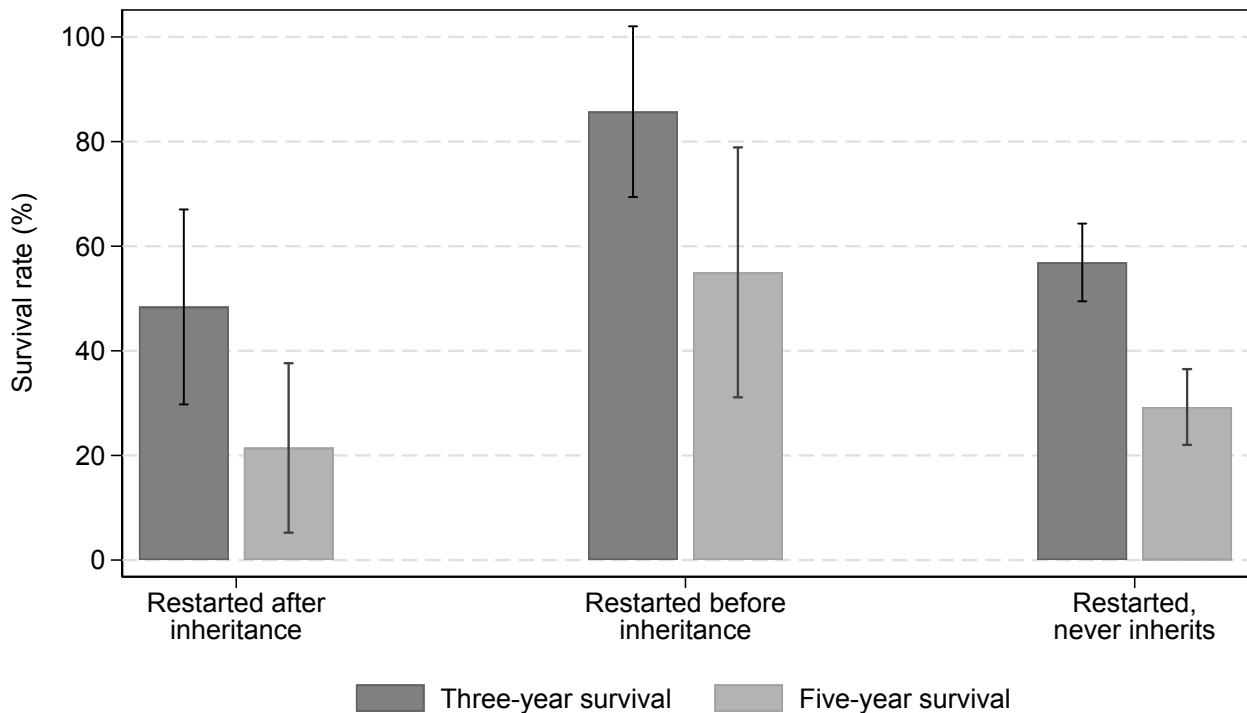


Figure IA.6: Post-bankruptcy income by entrepreneurship status

This figure plots average labor and entrepreneurial income for individuals in the main matched sample, measured over the post-bankruptcy window (event years 0 to +6). Within each of the treated and matched control groups, the figure reports average income separately for individuals who are not entrepreneurs (“Non-entrepreneur”) and individuals who are entrepreneurs (“Entrepreneur”). Light grey bars denote the treated group and dark grey bars the control group (those who never inherit); black bars report the difference between them. The treated entrepreneur bar pools individuals who restart before and after inheriting; the regression in Table 6 separates the two through the timing of *After inheritance*. Income is measured in thousands of DKK, where 1 Euro $\approx$ DKK 7.45.

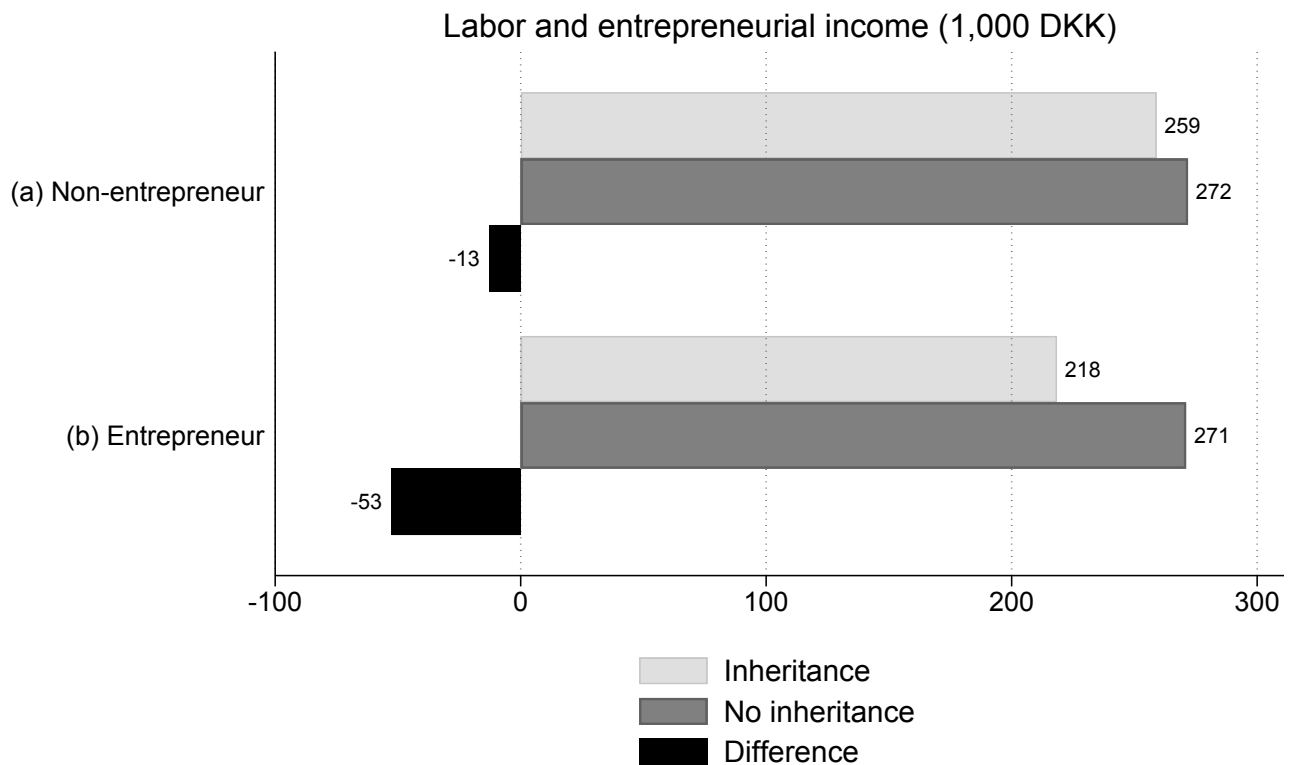


Table IA.1: Excluding time-varying controls

This table reports estimates from the stacked difference-in-differences specifications in Equation 3, examining the effect of post-bankruptcy inheritance on the probability of entrepreneurship by the experience of severe losses. The dependent variable, *Entrepreneur*, is an indicator variable equal to one if the individual is an entrepreneur in the year. The primary independent variable, *After inheritance*, is an indicator equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation throughout the cohort. The three severe-losses measures—*Severe income loss* (Column 2), *Business debt chapter* (Column 3), and *Full personal liability* (Column 4)—are defined in Table 4 and entered one per column. The treated and control groups, the sample window, the definition of *After inheritance*, fixed effects, weighting, and clustering are as in the notes to Table 2. The only difference is the exclusion of time-varying individual controls, which are an indicator for being married and the number of children under the age of 18 living in the household. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)
After inheritance	0.029 (1.14)	0.074** (2.26)	0.080** (2.27)	0.142* (1.70)
After inheritance $\times$ Severe income loss		-0.111** (-2.13)		
After inheritance $\times$ Business debt chapter			-0.119** (-2.34)	
After inheritance $\times$ Full personal liability				-0.131 (-1.49)
Time-varying individual controls	No	No	No	No
Individual $\times$ cohort fixed effects	Yes	Yes	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes	Yes
R^2	0.67	0.68	0.68	0.68
Observations	10,705	10,705	10,705	10,705

Table IA.2: Inheritance as a source of post-bankruptcy wealth by severe losses

This table reports estimates from the stacked difference-in-differences specification in Equation 3, examining the effect of post-bankruptcy inheritance on the level of net wealth (measured in thousands of 2015 DKK, where 1 Euro $\approx$ DKK 7.45) by the experience of severe losses. The three severe-losses measures—*Severe income loss* (Column 1), *Business debt chapter* (Column 2), and *Full personal liability* (Column 3)—are defined in Table 4 and entered one per column. The treated and control groups, the sample window, the definition of *After inheritance*, the time-varying individual controls, fixed effects, weighting, and clustering are as in the notes to Table 2. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)
After inheritance	125.3** (2.09)	177.6*** (3.53)	301.7** (2.37)
After inheritance $\times$ Severe income loss	80.1 (0.77)		
After inheritance $\times$ Business debt chapter		-45.3 (-0.42)	
After inheritance $\times$ Full personal liability			-166.1 (-1.18)
Time-varying individual controls	Yes	Yes	Yes
Individual $\times$ cohort fixed effects	Yes	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
R^2	0.89	0.89	0.89
Observations	10,705	10,705	10,705

Table IA.3: Severe losses and serial entrepreneurship, by inheritance amount

This table extends the heterogeneity analysis of Table 4 by allowing the experience of severe losses to vary with the size of the inheritance. I estimate the stacked difference-in-differences specification of Equation 2, additionally interacting each measure of severe losses with *Inherited wealth*_{*i*}. The dependent variable, *Entrepreneur*, is an indicator variable equal to one if the individual is an entrepreneur in the year. *Inherited wealth*_{*i*} is the amount of inherited wealth received by treated entrepreneur *i*, measured in millions of 2015 DKK, and is zero for control entrepreneurs, as in Table 3. The three severe-losses measures—*Severe income loss* (Column 1), *Business debt chapter* (Column 2), and *Full personal liability* (Column 3)—are defined in Table 4 and entered one per column. The treated and control groups, the sample window, the definition of *After inheritance*, the time-varying individual controls, fixed effects, weighting, and clustering are as in the notes to Table 2. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively. In each column, the triple-interaction term *After inheritance* × *Severe losses* × *Inherited wealth* captures whether a larger windfall offsets the effect of severe losses on restarting.

	(1)	(2)	(3)
After inheritance	0.072* (1.75)	0.076* (1.66)	0.186 (1.63)
After inheritance × Inherited wealth	0.014 (0.16)	0.043 (0.47)	-0.154 (-0.76)
After inheritance × Severe income loss	-0.165** (-2.51)		
After inheritance × Severe income loss × Inherited wealth	0.254 (1.45)		
After inheritance × Business debt chapter		-0.158** (-2.43)	
After inheritance × Business debt chapter × Inherited wealth		0.164 (0.86)	
After inheritance × Full personal liability			-0.205* (-1.73)
After inheritance × Full personal liability × Inherited wealth			0.303 (1.37)
Time-varying individual controls	Yes	Yes	Yes
Individual × cohort fixed effects	Yes	Yes	Yes
Cohort × event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
<i>R</i> ²	0.68	0.68	0.68
Observations	10,705	10,705	10,705

Table IA.4: Severe losses and serial entrepreneurship, by above-median inheritance

This table extends the heterogeneity analysis of Table 4 by allowing the experience of severe losses to vary with the size of the inheritance. I estimate the stacked difference-in-differences specification of Equation 2, additionally interacting each measure of severe losses with *Large inheritance*_{*i*}. The dependent variable, *Entrepreneur*, is an indicator variable equal to one if the individual is an entrepreneur in the year. *Large inheritance*_{*i*} is an indicator equal to one if individual *i* receives an above-median inheritance, and zero for control entrepreneurs, as in Table 3. The three severe-losses measures—*Severe income loss* (Column 1), *Business debt chapter* (Column 2), and *Full personal liability* (Column 3)—are defined in Table 4 and entered one per column. The treated and control groups, the sample window, the definition of *After inheritance*, the time-varying individual controls, fixed effects, weighting, and clustering are as in the notes to Table 2. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively. In each column, the triple-interaction term *After inheritance* × *Severe losses* × *Large inheritance* captures whether a larger windfall offsets the effect of severe losses on restarting.

	(1)	(2)	(3)
After inheritance	0.094*	0.100*	0.200
	(1.95)	(1.84)	(1.42)
After inheritance × Large inheritance	-0.039	-0.027	-0.112
	(-0.59)	(-0.37)	(-0.66)
After inheritance × Severe income loss	-0.106		
	(-1.43)		
After inheritance × Large inheritance × Severe income loss	0.002		
	(0.02)		
After inheritance × Business debt chapter		-0.107	
		(-1.48)	
After inheritance × Large inheritance × Business debt chapter		-0.040	
		(-0.39)	
After inheritance × Full personal liability			-0.170
			(-1.17)
After inheritance × Large inheritance × Full personal liability			0.079
			(0.45)
Time-varying individual controls	Yes	Yes	Yes
Individual × cohort fixed effects	Yes	Yes	Yes
Cohort × event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
<i>R</i> ²	0.68	0.68	0.68
Observations	10,705	10,705	10,705

Table IA.5: Severe losses and serial entrepreneurship: controlling for pre-bankruptcy industry

This table re-estimates the severe-losses specifications in Table 4, adding pre-bankruptcy-industry-by-event-year fixed effects. The dependent variable, *Entrepreneur*, is an indicator equal to one if the individual is an entrepreneur in the year. *After inheritance* is an indicator equal to one for the treated entrepreneur in event years on or after her inheritance year, and zero for every control observation. The three severe-losses measures—*Severe income loss*, *Business debt chapter*, and *Full personal liability*—are defined in Section 4.3 and entered one per column. Pre-bankruptcy industry is the industry (based on the two-digit code from NACE Rev. 2) of the individual's pre-bankruptcy business; interacting it with event year absorbs any restart trajectory common to an industry at a given event year. The estimating equation, controls, remaining fixed effects, weighting, and clustering are as in the notes to Table 4. *t*-statistics are in parentheses. Adding these fixed effects drops a small number of singleton industry-by-event-year cells, which provide no within-cell variation for identification. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)
After inheritance	0.068** (2.10)	0.086** (2.43)	0.136 (1.64)
After inheritance × Severe income loss	-0.095* (-1.80)		
After inheritance × Business debt chapter		-0.127** (-2.48)	
After inheritance × Full personal liability			-0.125 (-1.41)
Time-varying individual controls	Yes	Yes	Yes
Individual × cohort fixed effects	Yes	Yes	Yes
Cohort × event-year fixed effects	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes
Pre-bankruptcy industry × event-year fixed effects	Yes	Yes	Yes
R ²	0.71	0.71	0.71
Observations	10,593	10,593	10,593

Table IA.6: Alternative sample matched on expected inheritance: Severe losses and serial entrepreneurship

This table reproduces Table 3 (Column 1) and Table 4 using an alternative matched sample. The sample is constructed exactly as the main sample, except that expected inheritance is added to the matching criteria and matches differing in expected inheritance by more than 250,000 DKK are excluded, as described in Section 5. The dependent variable, *Entrepreneur*, is an indicator equal to one if the individual is an entrepreneur in the year. Column 1 reports the baseline specification (Equation 1); Columns 2–4 interact *After inheritance* with each of the three severe-losses measures (Equation 3), defined in Section 4.3. All variable definitions, controls, fixed effects, weighting, and inference are as in the notes to Tables 3 and 4. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1)	(2)	(3)	(4)
After inheritance	0.034 (1.07)	0.100** (2.46)	0.109** (2.51)	0.306*** (2.94)
After inheritance × Severe income loss		-0.165** (-2.58)		
After inheritance × Business debt chapter			-0.178*** (-2.86)	
After inheritance × Full personal liability				-0.308*** (-2.82)
Time-varying individual controls	Yes	Yes	Yes	Yes
Individual × cohort fixed effects	Yes	Yes	Yes	Yes
Cohort × event-year fixed effects	Yes	Yes	Yes	Yes
Age-bin fixed effects	Yes	Yes	Yes	Yes
R^2	0.68	0.68	0.68	0.68
Observations	7,498	7,498	7,498	7,498

Table IA.7: Alternative sample matched on expected inheritance: Survival likelihood

This table reproduces Table 5 using an alternative matched sample. The sample is constructed exactly as the main sample, except that expected inheritance is added to the matching criteria and matches differing in expected inheritance by more than 250,000 DKK are excluded, as described in Section 5. The dependent variable is an indicator equal to one if the entrepreneur remains in business three (Column 1) or five (Column 2) years after the restart year. *Restarted after inheritance* and *Restarted before inheritance* are indicators for treated entrepreneurs who restart after and before receiving an inheritance, respectively; the omitted group is matched control entrepreneurs who restart and never inherit. As in the main analysis, inference is based on the wild-cluster bootstrap (Webb weights, clustered at the matched-cohort level), and the reported 95% confidence intervals and significance stars are bootstrap-based; *Matched-cohort clusters* reports the number of matched-cohort clusters in the estimation sample, the level at which standard errors are clustered. All variable definitions, controls, fixed effects, weighting, and the sample restriction are as in the notes to Table 5. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	(1) Three-year survival	(2) Five-year survival
Restarted after inheritance	−0.173 (−1.37)	−0.088 (−0.92)
Wild-cluster bootstrap 95% CI	[−0.443, 0.112]	[−0.284, 0.107]
Restarted before inheritance	0.439*** (3.28)	0.264* (1.95)
Wild-cluster bootstrap 95% CI	[0.142, 0.726]	[−0.022, 0.569]
Individual controls	Yes	Yes
Severe-losses controls	Yes	Yes
Year-of-restarting fixed effects	Yes	Yes
Age-bin fixed effects	Yes	Yes
R^2	0.27	0.33
Observations	153	139
Matched-cohort clusters	98	91

Table IA.8: Alternative sample matched on expected inheritance: Returns to post-bankruptcy serial entrepreneurship

This table reproduces Table 6 using an alternative matched sample. The sample is constructed exactly as the main sample, except that expected inheritance is added to the matching criteria and matches differing in expected inheritance by more than 250,000 DKK are excluded, as described in Section 5. In Column 1 the dependent variable is *Labor and entrepreneurial income*, and in Column 2 it is *Total income*; both are measured in thousands of 2015 DKK (1 Euro $\approx$ DKK 7.45). The coefficient of interest is on *After inheritance* $\times$ *Entrepreneur*. All variable definitions, controls, fixed effects, weighting, and inference are as in the notes to Table 6. *t*-statistics are in parentheses. *, **, and *** indicate statistical significance at the 10%, 5%, and 1% levels, respectively.

	Labor and entrepreneurial income (1)	Total income (2)
After inheritance	6.2 (0.49)	17.8* (1.71)
Entrepreneur	-73.1*** (-5.36)	-80.3*** (-5.99)
After bankruptcy $\times$ Entrepreneur	59.5** (2.50)	53.4** (2.27)
After inheritance $\times$ Entrepreneur	-57.8* (-1.93)	-44.8 (-1.46)
Time-varying individual controls	Yes	Yes
Individual $\times$ cohort fixed effects	Yes	Yes
Cohort $\times$ event-year fixed effects	Yes	Yes
Age-bin fixed effects	Yes	Yes
R^2	0.68	0.66
Observations	7,498	7,498